

Saudi Awwal Bank

Pillar 3 Disclosures as of 31 December 2025



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KM1: Key metrics (at consolidated group level) (Figures in SAR 000's)

	a	b	c	d	e
	Dec-25	Sep-25	Jun-25	Mar-25	Dec-24
Available capital (amounts)					
1 Common Equity Tier 1 (CET1)	55,732,713	54,502,222	54,097,773	54,224,861	50,821,286
1a Fully loaded ECL accounting model	55,732,713	54,502,222	54,097,773	54,224,861	50,821,286
2 Tier 1	68,119,213	66,888,722	64,500,273	62,189,861	58,786,286
2a Fully loaded ECL accounting model Tier 1	68,119,213	66,888,722	64,500,273	62,189,861	58,786,286
3 Total capital	73,814,260	72,579,510	70,431,510	68,047,489	64,565,180
3a Fully loaded ECL accounting model total capital	73,814,260	72,579,510	70,431,510	68,047,489	64,565,180
Risk-weighted assets (amounts)					
4 Total risk-weighted assets (RWA)	375,643,255	378,631,569	360,148,843	345,109,638	325,481,889
4a Total risk-weighted assets (pre-floor)	375,643,255	378,631,569	360,148,843	345,109,638	325,481,889
Risk-based capital ratios as a percentage of RWA					
5 CET1 ratio (%)	14.84%	14.39%	15.02%	15.71%	15.61%
5a Fully loaded ECL accounting model CET1 (%)	14.84%	14.39%	15.02%	15.71%	15.61%
5b CET1 ratio (%) (pre-floor ratio)	14.84%	14.39%	15.02%	15.71%	15.61%
6 Tier 1 ratio (%)	18.13%	17.67%	17.91%	18.02%	18.06%
6a Fully loaded ECL accounting model Tier 1 ratio (%)	18.13%	17.67%	17.91%	18.02%	18.06%
6b Tier 1 ratio (%) (pre-floor ratio)	18.13%	17.67%	17.91%	18.02%	18.06%
7 Total capital ratio (%)	19.65%	19.17%	19.56%	19.72%	19.84%
7a Fully loaded ECL accounting model total capital ratio (%)	19.65%	19.17%	19.56%	19.72%	19.84%
7b Total capital ratio (%) (pre-floor ratio)	19.65%	19.17%	19.56%	19.72%	19.84%
Additional CET1 buffer requirements as a percentage of RWA					
8 Capital conservation buffer requirement (2.5% from 2019) (%)	2.50%	2.50%	2.50%	2.50%	2.50%
9 Countercyclical buffer requirement (%)	0.03%	0.02%	0.00%	0.00%	0.02%
10 Bank G-SIB and/or D-SIB additional requirements (%)	0.50%	0.50%	0.50%	0.50%	0.50%
11 Total of bank CET1 specific buffer requirements (%) (row 8 + row 9 + row 10)	3.03%	3.02%	3.00%	3.00%	3.02%
12 CET1 available after meeting the bank's minimum capital requirements (%)	7.31%	6.87%	7.49%	8.18%	8.09%
Basel III leverage ratio					
13 Total Basel III leverage ratio exposure measure	567,984,139	555,728,962	537,592,439	523,410,836	493,007,036
14 Basel III leverage ratio (%) (including the impact of any applicable temporary exemption of central bank reserves)	11.99%	12.04%	12.00%	11.88%	11.92%
14a Fully loaded ECL accounting model Basel III leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) (%)	11.99%	12.04%	12.00%	11.88%	11.92%
14b Basel III leverage ratio (%) (excluding the impact of any applicable temporary exemption of central bank reserves)	11.99%	12.04%	12.00%	11.88%	11.92%
14c Basel III leverage ratio (%) (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values for SFT assets	11.99%	12.04%	12.00%	11.88%	11.92%
14d Basel III leverage ratio (%) (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values for SFT assets	11.99%	12.04%	12.00%	11.88%	11.92%
Liquidity Coverage Ratio (LCR)					
15 Total high-quality liquid assets (HQLA)	110,259,304	111,517,253	100,122,383	96,634,105	98,104,175
16 Total net cash outflow	77,686,989	78,242,858	71,288,139	67,509,447	68,489,326
17 LCR ratio (%)	141.93%	142.53%	140.45%	143.14%	143.24%
Net Stable Funding Ratio (NSFR)					
18 Total available stable funding	294,898,754	283,963,526	271,146,878	266,373,884	249,683,335
19 Total required stable funding	250,582,589	241,733,595	232,363,608	227,840,400	212,193,031
20 NSFR ratio	117.69%	117.47%	116.69%	116.91%	117.67%

OVA: Bank risk management approach

(a) Business model determination and risk profile

The main objectives of the Bank are to provide a complete range of banking products and services to both retail and corporate sectors through a network of 100 branches (2024: 103 branches) in the Kingdom of Saudi Arabia and employing 4,105 full time employees (2024: 4,062 full time employees) as at 31 December 2025.

The Bank provides Shariah compliant products which are approved and supervised by an independent Shariah Committee. The Bank also provides to its customers a wide range of conventional banking products and services which include current accounts, savings, time deposits, corporate credit facilities, trade receivable and supply chain finance solutions, cash and payments management and treasury solutions.

SAB maintains a valuable strategic partnership with the HSBC Group, one of the largest and most geographically diverse banking groups in the world. This strategic partnership provides SAB with a competitive advantage to provide its customers with access to the best local and international service offering in the market. HSBC owns 31% of SAB shares.

The Bank is organised into the following main business segments:

Wealth and Personal Banking (WPB) provide a wide range of services and products to personal and private banking customers including time deposits, current and savings accounts, home finance, consumer financing, and credit cards, where it maintains a market leading position in the Kingdom. Retail Banking provides a range of digital solutions, enabling customers to access their finance anytime and anywhere, along with access to a traditional branch network.

Our Customer segments include the affluent propositions mainly include “Top Tier”, “Premier” “Advance” and the general banking for Mass customers. Our dedicated Premier and Advance Service Centres and Lounges help provide benefits and priority servicing for these affluent segments, with support from highly trained Relationship Managers, available within the branch network and virtual channels. SAB focuses on high-net-worth Private customers through number of dedicated centres within the Kingdom. These exclusive centres provide Private customers with tailored products and services, addressing their investment needs through collaboration with SAB Invest, our wholly owned subsidiary, and HSBC’s global network.

Corporate and Institutional Banking (CIB) is one of the largest commercial banking divisions in the Kingdom in terms of both operating income and balance sheet size. The Bank serves its corporate customers through teams of relationship managers (RMs) based in the Kingdom’s main commercial hubs. Through long-term relationships the relationship managers build a detailed understanding of an individual client’s financial needs to deliver tailored solutions from SAB’s full suite of corporate banking products and services, both conventional and Islamic. To serve their clients the relationship managers can draw on specialist teams in treasury, liquidity and cash management, trade and receivables finance, investment banking and insurance.

In addition to this comprehensive range of local products and services, SAB is also in a unique position to provide access to global financial markets and services through SAB’s partnership with the HSBC Group. CIB is divided into five segments: Global Corporate and Institutional Banking (GIB), Multinational Corporates (MNC), Large Corporates (LCB), Commercial Banking (CMB) and Small & Medium Enterprises (MSMEs). The CIB segment offers

a full suite of conventional and Shariah compliant corporate banking solutions, catering to a wide range of customers, from SMEs to multinational businesses, local large corporates, and institutional clients including Government & Quasi-government customers etc.

GIB dedicated RMs work with Saudi Government & Ministries, as well as many other Government-Related Agencies, Saudi Global Corporates and Institutions in KSA. Additionally, this segment manages all relationships with Financial Institutions e.g. banks, securities houses, broker-dealers and insurers. Through SAB's strong ties to the HSBC Group and the joint venture, HSBC Saudi Arabia, the GIB team is in a unique position to deliver tailored solutions to its clients, both domestically and internationally. Through this unrivalled combination of expertise and resources, GIB has been able to support major infrastructure projects in the Kingdom, support and advise Saudi clients with their international expansion and to tap into liquidity through non-Saudi financial institutions by way of Export Credit Agency finance and international bonds and sukuku.

MNCs headquartered outside of Saudi Arabia and that have an extensive operation in the Kingdom are handled by the specialized RMs under the MNC segment, whereby dedicated RM teams focus on supporting the needs of customers seeking local expertise and expecting international service quality.

LCB is responsible for delivering the entire range of SAB's financial services and solutions to local 'Large Corporates.' LCB clients are assigned a dedicated RM to structure solutions that meet their banking needs. As an associate of the HSBC Group, SAB can assist LCB clients with cross-border expansion plans by finding the right solutions to enable them to grow regionally and globally.

Commercial Banking manages the middle market companies in the Kingdom, with annual revenues of between SAR 200 million to SAR 700 million. Commercial Banking specializes in managing relationships with companies which are domestic or local with each company managed by a dedicated relationship manager.

MSME are supported by SAB through its digital offerings as well as through five dedicated centers across the Kingdom covering all major business hubs. SAB offers a range of financial and non-financial products and services to meet the needs of MSME aligned with Shariah-compliant products. Customers receive a dedicated relationship manager (RM) to offer the banking solutions to meet their requirements. SAB's strategic focus for SMEs is centered around empowering SME businesses by enhancing their access to finance, fostering digital transformation, and promoting sustainability.

Included within its range of products and services, the following product groups are also provided:

Global Trade Solutions (GTS) has developed a market leading trade finance proposition. GTS continues to be involved in a range of digital initiatives with a view to enhancing the customer experience, reducing risk and paper in the industry. With the support of our global network, the award-winning GTS business is growing across all customer segments supporting Saudi Giga projects as well as the increasing trade flows between the Kingdom and key international corridors.

Global Payments Solutions (GPS) enables CIB customers to manage their working capital through a combination of innovative and cost-effective payments and collection solutions that meet clients' non-lending requirements. GPS offers customers a wide variety of solutions across channels, making payments, managing 'collections and liquidity' digitally and acquiring business (point of sale ("POS") and E-commerce).

Treasury undertakes two functions in SAB. Principally it provides corporate, institutional, retail and private banking customers with access to capital markets, foreign currency and derivative solutions through its Sales and Trading unit. In addition, it manages the liquidity and market risk

of the Bank, including the deployment of the Bank's commercial surplus through its investment portfolio, managed by its Balance Sheet Management unit. SAB is one of the government's primary dealers and leading the development of the local repo market.

Capital Markets brings together the margin lending, brokerage, and asset management business and are managed by our wholly owned subsidiary SAB Invest. Given the common objective of these businesses, in managing, arranging, advising and taking custody of securities, the acquisition brings together SAB's interests in these activities and allows the Bank to hone its strategy with greater purpose.

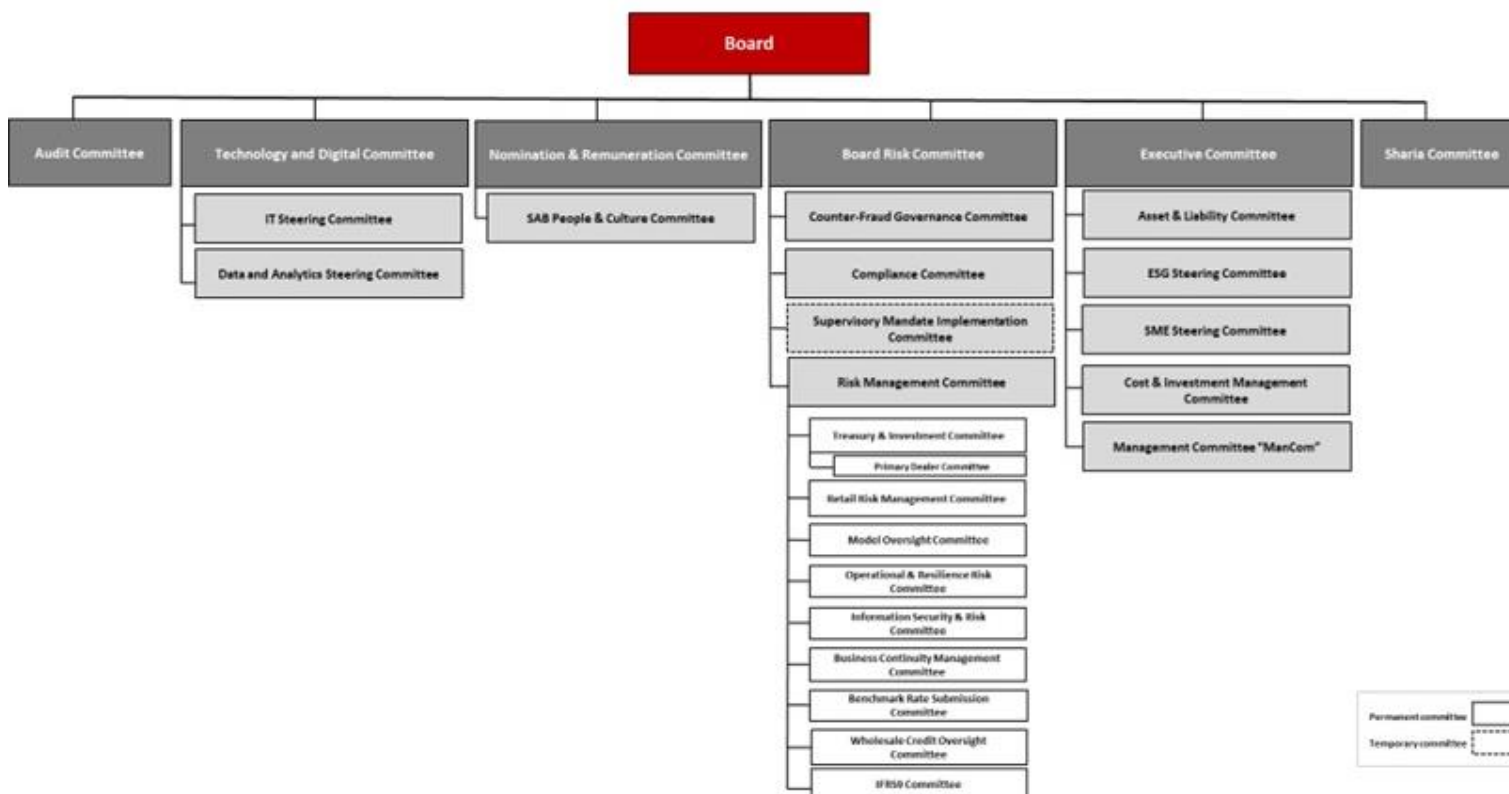
Others primarily includes activities of the Bank's investment its investment banking joint venture, HSBC Saudi Arabia, and equity investments. HSBC Saudi Arabia (HSBC SA) is a leading investment bank in the Kingdom and consistently tops key league tables, leveraging upon the strength of the SAB franchise in the Kingdom and the international capability of HSBC globally.

Further Information on Business segments is shown in section "Business segment performance highlights" of the Annual Report and Accounts.

(b) The risk governance structure

Managing under a clear risk framework is a fundamental governance principle within SAB.

SAB has a robust risk governance framework in place with accountability embedded throughout the bank, below is the management committee's structure:



SAB applies a 'Three Lines of Defence' model within which business units are responsible for the risks corresponding to their respective areas and ensure that all key risks are identified, mitigated and monitored through appropriate controls. Compliance (incl. Fraud Risk), Legal, Human Resources, Shariah, Operational & Resilience, Finance and Model risk form part of the second Line of Defence and are responsible for providing assurance, challenge and oversight over the embedment of their policies within the FLoD. Internal audit is the third line and provides an independent assurance to senior management and the Board on the effectiveness of internal controls.

SAB Risk is headed by Chief Risk Officer who functionally reports into the Board Risk Committee (BRC). All areas within Risk have direct reporting into Chief Risk Officer and are independent of Business units.

The core SAB governance policy manuals covering SAB Principles, Risk Management Framework and Credit Policy are subject to annual review by the Board or its designated committees.

The Framework of regular risk reporting to the Board includes, inter alia, the Risk Appetite Statements, Risk Heatmap and Top and Emerging Risks. These are compiled and submitted to the relevant risk governance committees where the reports are challenged and action plans agreed.

(c) Channels to communicate, decline and enforce the risk culture

Risk Management in SAB is an independent function, headed by the Chief Risk Officer (CRO) who reports directly into the Board Risk Committee.

Whilst business units are the risk owners and have the primary responsibility for managing specific risk exposures under the oversight of the Chief Risk Officer, the Board Risk Committee (BRC), the Risk Management Committee (RMC) and Assets and Liabilities Committee (ALCO) have the primary responsibility for setting SAB's overall risk appetite.

The SAB Principles include the Bank's core behaviours, which are applied and assessed as part of the annual performance appraisal process to support embedding the risk culture. These values are supported by speak up, rapid escalation communication channels and consequence management processes.

The composition of the major Board committees is briefly described below:

The Board of Directors (BOD) – Consists of eleven Directors eight of whom are elected by the Shareholders by cumulative voting, and three of whom are appointed by the board of directors of HSBC Holding B.V. Directors are elected/appointed for a three-year term. Members of the Board and Board Committees are subject to rigorous selection criteria and regulatory requirements, as required in the Selection Policy for Board and Board Committee Members, which is approved by the General Assembly. The Board has established six committees to assist it in the effective discharge of its responsibilities. Each of the Board Committees reports directly to the Board and has Terms of Reference which set out their formation and composition, mandate, responsibilities, and meeting procedures, in line with the applicable regulatory requirements, business needs, and best practices, the Board Committees are as follows:

The Board Risk Committee (BRC) – Consists of three to five members, and meets four times per year, it is empowered to oversee and advise the Board on all risk management related issues. The Committee oversees the Bank's risk management and internal control systems, evaluates the effectiveness of such systems, ascertains the feasibility of the Bank's successful continuation of its activities, and sees that adequate procedures are in place to control such existential risks. Reviews and advises the Board Executive Committee, when required, on matters relating to delegation of credit approving powers. The committee reviews and advises the Board on the risks associated with any material strategic decision and/or transaction, including acquisitions or disposals. The committee reviews and submits to the Board reports on the Bank's exposure to credit, counterparty credit, market, operational, and other financial and non-financial risks (e.g., Model, Sustainability, IT, information security, cybersecurity risks and material risks residing on the Bank's portfolio of affiliate companies). The committee develops for the Board's approval the Risk Management Framework and the relevant Bank risk policies and procedures such as, but not limited to, the Internal Capital Adequacy Assessment Process (ICAAP), the Internal Liquidity Adequacy Assessment Process (ILAAP), Contingency Funding Plan (CFP), and Recovery &

Resolution Plan (RRP) and the Bank's Stress Testing framework as per the applicable regulatory requirements and periodically reviews their adequacy. The committee approves the Bank's cybersecurity strategy and the strategy for combating financial fraud, assesses the effectiveness of the Bank's implementation of its combating financial fraud policy. Additionally, the Committee ensures that a robust Fraud Risk Management Framework is established, implemented, and maintained to effectively manage and mitigate fraud risks, and it reviews and approves the output of the Fraud Risk Assessment. The committee also reviews reports from the executive management including the compliance function on cybersecurity, regulatory compliance, financial crime compliance and fraud risks and assesses the level of risk associated with these aspects, as well as key updates from management committees reporting to it. The committee also reviews annually the Bank's Delegation of Authority Matrix. It recommends to the Board the appointment and/or termination of the CRO, and the CCO and appraise their performance, and approve their objectives.

Executive Committee (EXCOM) – Consists of three to five members; it meets at least six times per year. The Committee assists the Managing Director and provides guidance as deemed necessary thereby. Its responsibilities include endorsing the Annual Operating Plan, Strategic Plan, the Bank's Environmental, Social & Governance (ESG) strategy and its Key Performance Indicators (KPIs). It monitors the execution of strategic programs and initiatives, business performance including Annual Operating Plan progress reports, financial reports, cost reports and treasury reports operational aspects. It assesses and approves investment opportunities, credit facilities, expenses, write-off for credit and fixed assets cases, operational loss, and legal provisioning as per the Delegated Authority.

Audit Committee (AUCOM) – Consists of three to five members who are all independent directors or independent external committee members. It meets at least four times per year, preferably on a quarterly basis. The committee monitors and oversees the performance and activities of the Chief Internal Auditor and the Internal Audit Department of the Bank; it is also responsible for examining the interim and annual financial statements and provides the Board with its comments and feedback. The committee examines the internal audit reports and follows up on the implementation of corrective measures with regard to the remarks contained therein, and also recommends to the Board the appointment of the Bank's auditors, the fixing of their fees, the review of the audit plan, follows-up on the auditors' work and review their comments, examines any important or unfamiliar issues in financial reports, and investigates concerns raised by the CFO, CCO or external auditors, reviews the Related Party Transactions Policy, assesses compliance with insider trading rules, and review staff conflict of interest matters. The committee determines the objectives and deliverables for the internal Shariah audit function after consulting with the Shariah committee and provides recommendations on the findings of the internal Shariah audit. The Terms of Reference of the Committee are endorsed by the Board and approved by the General Assembly.

Nomination and Remuneration Committee (NRC) – Consists of three to five members at least two of whom are independent members, including its chair. It meets at least every six months and more frequently if necessary. The committee recommends to the Board nominations for membership of the Board and Board committees and Executive Management in line with the approved policies, standards and delegations. The committee prepares descriptions of the capabilities and qualifications required for membership of the Board and Executive Management positions. It annually reviews the skills and capabilities required of the members of the Board and the Executive Management team to ensure the effective discharge of their respective responsibilities. It reviews the structure and effectiveness of the Board and the Executive Management. The committee ensures the independence of independent members and the absence of conflicts of interest. It also provides recommendations for the

Board's review and approval on the Bank's governance rules, in accordance with the provisions set forth by the Supervisory Authorities, and monitor their implementation, verify their effectiveness, and review them periodically. In addition, NRC is responsible of developing and reviewing the remuneration policy and monitoring its implementation at least on a half-yearly basis to ensure achievement of its stated objectives, it also reviews and monitors the remuneration for highest paid staff to verify compliance with the remuneration policy, and to prevent misuse. It also works closely with the Board Risk Management Committee and/or the Chief Risk Officer in the evaluation of the incentives created by the remuneration system. The Terms of Reference of the Committee are endorsed by the Board and approved by the General Assembly.

Technology and Digital Committee (TDC) – Consists of three to five members. The Committee meets three times per year and more frequently if necessary. The overarching responsibility of the TDC is to assist the Board in setting and overseeing the execution of SAB's strategic plan, strategic objectives and major initiatives with respect to information technology, data & analytics, digital technology, transformation and innovation. The Committee's responsibilities also include monitoring and evaluating industry trends, opportunities and threats in the fields of Innovation including emerging and disruptive technologies, digitalization, information technology and cybersecurity which may affect the Bank's strategic plans and providing the Board with its recommendations to future-proof the Bank's digital evolution journey. The Committee advises on technology-driven risks to the Board Risk Committee from technical point of view to ensure that these risks are identified, overseen and adequately mitigated.

Shariah Committee (SC) – The SAB Shariah Committee has supervisory mandate over SAB and its affiliates. The SC is an independent committee comprising of most eminent and respected Shariah scholars. The committee meets, at least on quarterly basis, to provide SAB and its affiliates Shariah decisions and guidelines on all Shariah related activities including products & services, enquires, matters and issues submitted to it by Islamic Financial Services. SAB is committed strictly to comply with Shariah Committee resolutions. Members of the SC are nominated by SAB Nomination and Remuneration Committee (NRC) and appointed by Board of Directors. NRC assesses the performance of the committee members based on their competency, knowledge and efficient contribution indicator. SC submits its reports & minutes of meetings to the Board of Directors. The relationship between SC and SAB is governed by Shariah Committee Terms of Reference (ToR).

SAB Risk Appetite Framework sets out a consistent approach to defining, managing, reporting and embedding our risk appetite across the Bank. The Risk Appetite Statement (RAS) is approved by the Board and provides the foundation for the Second Line of Defense (LOD) to produce and maintain policies and limits for the Bank. These form the basis of the processes and decision making that the First LOD undertakes in its management of risks.

(d) The scope and main features of risk measurement systems

The material risks that may impact SAB's operations are identified and thoroughly assessed and stressed, both qualitatively and quantitatively. The risk review cycle is as follows:

- A monthly review of the top and emerging risks is undertaken and challenged at each RMC through the enterprise risk report and mitigation action plans.
- The risk appetite is reviewed on an ongoing basis by the RMC in consultation with the business functions.
- Risk reports for each risk category are submitted to each BRC quarterly.

- The stress test scenarios and outcomes are updated at least half-yearly based on revised parameters and reviewed by the ALCO and BRC.
- Senior management challenges the risk appetite and risk assessment methodologies at the RMC.
- The BRC challenges and approves the risk policy, risk appetite, ICAAP and ILAAP and recovery plan.

Credit risk is the risk of financial loss through the failure of a customer or counterparty to honor their commitments as they fall due. Credit risk arises principally in corporate and personal lending, trade finance, treasury and syndication underwriting. Credit risk also arises from off-balance-sheet products such as guarantees and derivatives or from SAB's holdings of debt securities.

A strong culture of prudent and responsible lending is a cornerstone of SAB's risk management philosophy. This is attained through effective control and management of risk, seeking to minimize credit losses while enhancing risk-adjusted returns.

Credit manuals provide clear and consistent lending guidelines, policies, and procedures to manage the corporate and personal banking asset portfolios. These policy manuals are reviewed annually by Risk Management and endorsed by Chief Risk Officer (CRO) and reviewed at the Retail Risk Committee / Wholesale Credit Oversight Committee (WCOC), before submission to the Risk Management Committee (RMC) for onward approval by the Board Risk Committee (BRC) or Board in line with the requirements stipulated in the SAMA Rules on Credit Risk Management Unit.

Credit risk assessment is undertaken by an independent credit approval unit which reports to the CRO, ensuring that they have an appropriate degree of independence. The team is responsible for credit approval decisions, with a separate portfolio credit risk management unit.

The approval process is reviewed annually by the BRC with limited delegations cascaded down from the Board level. Within SAB, emphasis is placed on the individual's responsibility for making credit decisions and as such there is a series of delegated approval limits agreed by Board.

A key element in the Bank's credit culture is the proactive management of the portfolio through:

- The regular review of facilities by lending and credit officers, at least annually.
- The operation of an independent special asset management function to handle non-performing and problem exposures.
- The central monitoring of credit concentration in certain countries, specialized industries / sectors, products, customers and customer groups with periodic reports to the RMC and to BRC. Counterparty Concentration is also tabled at Asset and Liability Committee (ALCO).
- The continual development of improved techniques for measuring and evaluating risk, and for optimizing risk-adjusted return on capital.
- The development and adoption of automated application processing and assessment systems, to enable consistency of decisions and an efficient framework for application processing.
- A structured framework of credit training and accreditation to build risk awareness and credit assessment capabilities.

Personal lending decisions are based on credit scoring models and decision strategies, developed using internal data and credit bureau information from SIMAH; with behavioral scoring applied to support credit card processing, authorization, collections and limit review decisions.

Provision for credit losses is based on IFRS9, where the Bank is required to recognize Expected Credit Losses ("ECL"), computed through a process which takes into account past events, current conditions and forecast information, and to update the ECL recognized at each reporting date to reflect changes in credit risk.

Personal lending decisions are based on credit scoring models and decision strategies, developed using internal data and credit bureau information from SIMAH; with behavioural scoring applied to support credit card processing, authorisation, collections and limit review decisions. Provision for credit losses is based on IFRS9, where the Bank is required to recognize Expected Credit Losses ("ECL"), computed through a process which takes into account past events, current conditions and forecast information, and to update the ECL recognized at each reporting date to reflect changes in credit risk.

SAB operates dedicated special assets and recoveries teams to manage companies in financial distress and non-performing loans to maximise recovery rates. For high value and problematic accounts, the recovery process includes the direct involvement of the Legal Division. For personal banking there is a dedicated collections function undertaking debt counselling and recovery activities at each stage of delinquency and wherever needed the services of external and overseas recovery agencies are enlisted.

Credit risk consumes the largest proportion of SAB's minimum capital requirement. Within the established principles and parameters SAB ensures that strict capital discipline is maintained through correct pricing and management of credit risks in relation to the regulatory and economic capital requirements.

Market Risk is the risk that movements in market risk factors, including foreign exchange rates, commodity prices, interest rates, credit spreads and equity prices will reduce SAB's income or the value of its portfolios.

Foreign exchange risk (FX) arises from an open position, either long or short, in a foreign currency, creating exposure to a change in the relevant exchange rate.

SAB categorises foreign exchange risk as follows:

- **Trading Book FX risk** - arises from proprietary currency trading i.e. spot, forwards, futures, swaps and options. Trading exposures are controlled through assigning limits to each currency and aggregate exposure levels as well as through Value at Risk (VaR) and stress testing measures.
- **Banking Book FX risk** - arises from a currency mismatch / revaluation between assets and liabilities, including accrued interest and accrued expenses. The mismatch is transferred to Treasury and managed on daily basis through the trading book.

SAB uses a range of control measures to manage market risk ranging from stop loss limits to sensitivity analysis limits including the present value of a basis point (PVBp) to assess the impact of a movement in interest rates, in addition to VaR limits designed to estimate the potential loss from market movements across a specified time horizon and for a given level of confidence using a historical simulation approach. SAB recognizes the limitations of VaR and complements its analysis with scenario stress testing to evaluate the impact of more extreme but plausible events or movements in market variables.

SAB uses both VaR and standardised approach rules to monitor and manage market risk, the capital requirements are assessed for all positions using the standardised approach rules and approaches prescribed by SAMA.

Operational and Resilience Risk (ORR) with a combined role of Resilience Risk Stewardship, Insurable Risk Stewardship and Operational Risk Oversight function, the main objective is to ensure the effective governance and management of Operational and Resilience Risk. ORR do this

through the delivery and embedding of effective frameworks and the end-to-end oversight of processes, risks and controls. This enables ORR to constructively challenge the organisation to understand both its potential and realised impacts from Operational and Resilience risk internal events.

SAB has classified risks into two main categories i.e. Financial and Non-Financial Risk. Operational & Resilience Risk forms a part of Non-Financial Risk, which has been further categorised into 9 broad categories of risks as follows:

- Financial Crime.
- Financial Reporting and Tax Risk.
- Fraud Risk.
- Legal Risk.
- Model Risk.
- Shariah Risk.
- People Risk.
- Regulatory Compliance Risk.
- Resilience Risk.

For further information, please refer to section “SAB principal risk types” in the Annual Report.

Operational and Resilience Risk governance framework consists of the Risk Management Framework, Procedures, Management information to various committees and oversight by the Operational & Resilience Risk Committee. An operational risk assessment process is undertaken periodically and at least annually by each line of business and support function, with the output challenged by Operational Risk Oversight.

Resilience Risk enables SAB to carry out its business objectives within risk appetite by:

Creating a consistent viewpoint across seven risk themes that are included under the resilience umbrella: Third Party Risk; Technology and Cyber Security Risk, Transaction and Payment Processing, Business Interruption and Incident Risk, Business Unavailability, Protective Security Risk and Workplace Safety.

Aligning the bank’s focus and skills to material risks, strategic change and innovation across areas of focus that are both highly vulnerable to resilience-related threats and fundamental to SAB’s go-to-market products and service offerings.

In addition to Resilience Risk Stewardship responsibilities, the Data Privacy Office sits within the Operational Risk Function.

Insurable risk from the Bank’s perspective relates to risks of loss or harm to bank assets, staff, customers or activity where those risks can be transferred under insurance contracts. SAB has elected to structure and develop an insurance programme and transfer these insurable risks under insurance cover where management has deemed that the risk or impact of an event falls outside internal risk tolerances.

SAB ensures that adequate structures exist for active identification, assessment and reduction of insurable risk to the bank, ensuring these risks under coverage provided by secure insurers operating within the Saudi market, backed by high quality re-insurers.

The Bank ensures risk transfer to mitigate the Bank's tail risks and actively seek sources and arranges cost-effective insurance coverage to transfer the impact arising from those risks.

SAB has an insurable risk manual that ensures relevant parties are involved at approval and maintenance of insurance policies. For example, in case of loss arising from war or civil unrest, SAB maintains insurance policies which covers risks related to Terrorism, Sabotage, Riots, Strikes, Civil Commotion, Malicious Damage, Insurrection, Revolution or Rebellion, War and/or Civil War etc.

To address the possibility of large operational losses being incurred by the bank from staff health, protection of assets and lending activities, SAB developed a comprehensive insurance programme. This programme used policies sourced from different insurers; namely Walaa, Chubb, Wataniya, and Tawuniya Insurance and covers the following risks:

- Property All Risks (Offices, Branches and ATMs).
- Electronic Equipment.
- Political Violence.
- Comprehensive General Liability.
- Mortgage, Credit Cards & Personal loan covers.
- Cyber Crime Insurance.
- Death and disability risk to SAB Staff.
- Liability risks to Directors & Officers of the Bank.
- Medical assistance for SAB staff and their dependents.
- Money & Fidelity Insurance.
- Banker's Blanket Bond & Professional Indemnity (BBB & PI).

Furthermore, the Bank has established an Information Security Risk unit reporting to the CRO. This unit provides assurance that the Bank's Infrastructure is secure and is compliant with Information Security/ Cybersecurity Policies by undertaking monitoring of information flows, data risk management and access management over SAB's core systems.

Cybersecurity risk represents the risk of financial loss, operational disruption, regulatory exposure, or reputational damage resulting from cyber-attacks, data breaches, or other cybersecurity incidents. The Bank recognizes cybersecurity as an inherent and evolving risk due to increasing digitalization, reliance on technology, and the growing sophistication of cyber threats.

SAB continues to strengthen its cybersecurity control framework and resilience capabilities through a combination of preventive, detective, and corrective controls. These include threat monitoring and analysis, access management controls, payment systems security, data protection

measures, network security controls, and backup and recovery capabilities – designed to protect and support the ongoing availability and reliability of our systems and services.

Cybersecurity risk is considered a priority risk area and is subject to ongoing oversight. Cyber risk matters are routinely reported to senior management and the relevant Board committees, including the Risk Management Committee (RMC) and Board Risk Committee (BRC), to ensure appropriate governance, visibility, and executive oversight of the cybersecurity programme.

From a regulatory perspective, SAB's cybersecurity framework is aligned with requirements and initiatives issued by the Saudi Central Bank (SAMA) and the National Cybersecurity Authority (NCA). These frameworks guide the Bank's approach to cybersecurity risk management, control design, and continuous enhancement of its cybersecurity posture. Key security capabilities include Data leak Prevention (DLP) controls to monitor and restrict unauthorized movement of sensitive information, and identity and access management controls to reduce the risk of unauthorized access to systems and information assets. Access rights are subject to periodic review to ensure alignment with business roles and least-privilege principles. In addition, SAB conducts regular Penetration Testing (PT) and Vulnerability Management (VM) activities as part of its cybersecurity assurance programme to identify threats across technology environment. At the time of the most recent assessments, no Critical or High vulnerabilities were identified on externally facing assets. Vulnerabilities identified through these processes are tracked and remediated in accordance with the Bank's risk appetite and remediation timelines.

Finally, the Bank continues to take measures to mitigate the inevitable operational risks arising from evolving threat techniques and changes in technology; and continues to invest in enhancing its cybersecurity capabilities and adapting its controls to address emerging risks and maintain an acceptable level of residual risk.

The Bank took measures to mitigate the inevitable operational risks arising from this change in working practices and operational risks have been managed to an acceptable level during the year. The Bank has remained within its defined risk appetite for operational losses during 2025.

This categorisation gives a clearer focus on key risks and enables better risk management. Each Level-1 Risk has an overall accountable Risk Steward for the holistic assessment and oversight of the combined risk exposure. Each of these 9 Level 1 Risk categories have corresponding Level 2 Risks (which provide detailed guidance on aspects to be covered), listed as under.

Financial Reporting; Tax; Model; Fraud (Internal & External); Potential or money laundering, terrorist financing, commercial concealment and proliferation financing; potential or actual bribery and corruption; potential or actual sanction breaches; potential or actual tax evasion; contractual; dispute management; breach of competition law; intellectual property; employment practices & relations; people management; breach of regulatory duty to clients & other counterparties; unauthorized trading; inappropriate market conduct; regulatory licensing, permissions & rules; Third Party Risk; Technology and Cyber Security Risk, Transaction and Payment Processing, Business Interruption and Incident Risk, Business Unavailability, Protective Security Risk; Workplace Safety and Data Risk.

A Bank Level Operational & Resilience Risk dashboard is used by Senior Management to highlight the major risks and deficiencies in the control environment. Loss trend reports are reviewed bi-monthly by the Operational and Resilience Risk Committee (ORRC) and RMC with a quarterly update provided to the BRC.

Systems established to record risks and losses by Basel business lines, risk and loss event categories enable business units to manage their action plans and request for management information reports. Duties are segregated to ensure integrity of loss and risk data in the system. Data is captured and approved in the system by the business. The Operational & Resilience Risk department coordinates the recording process, reconciles the observations to ensure only operational losses are captured and the data meets both SAB and regulatory guidelines in addition to ensuring the quality of the input data.

SAB continued the consolidation/strengthening of its Operational & Resilience Risk Management and Governance processes:

- The Risk Management Framework was reviewed by the BRC.
- Continued focus on adherence to laws and regulations, Treating Customers Fairly, Protecting Customer Information, Preventing Bribery and Corruption, preventing Financial Crime and ensuring compliance with Personal Data Protection Laws.
- SAB continued to fully assess the dependencies and business impact analysis related to the Bank's association with the HSBC Group.
- The Three Lines of Defence model was monitored to underpin our approach to strong risk management. The Three Lines of Defence model defines who is responsible to identify, assess, measure, manage, monitor, and mitigate operational risks, encouraging collaboration and enabling efficient coordination of risk and control activities.
- Risk and Control Assessment (RCA) is a component of the Risk Management Framework implemented across SAB. The RCA process is designed to provide business/function with a forward-looking view of operational risk to help them proactively determine whether their key operational risks are controlled within acceptable levels.
- The Second Line of Defence Risk Steward Reviews have continued and Risk Steward Oversight role within Operational & Resilience Risk has been working closely with the Risk Stewards to fully embed their roles and responsibilities.
- The ongoing implementation of findings from independent reviews are tracked using the Operational Risk Repository System (HELIOS). The status update and validation status (undertaken by ORR and INA) is submitted to Risk Management Committee.

(e) Process of risk information reporting provided to the board and senior management

The Board is constantly informed and updated regarding the risk status of the bank through several reports. Following are the key reports which are considered comprehensive and provide bank-wide risk assessment on periodic basis.

Monthly Risk Report is submitted to the Risk Management Committee encompassing risks related to the Bank. The report provides a concise overview of all regulatory ratios and thresholds, capital adequacy, asset quality and provision coverage, risk adjusted return, market risk due to the trading activities, interest rate risk in the banking book, major operational risk incidents and mitigating actions, and information security update. The report also includes a review of risk management matters, including reviewing risk appetite, emerging risks and risk policy.

Quarterly Risk Report is submitted to the Board Risk Committee encompassing risks related to the Bank. The report provides a concise overview of key regulatory ratios and thresholds, capital adequacy, asset quality and provision coverage, risk adjusted return, liquidity position of the Bank, market risk due to the trading activities, interest rate risk in the banking book, major operational risk incidents and mitigating actions, and information security update.

Risk appetite monitoring of the Bank is an integral part of the monthly reporting to the senior management. The risk appetite informs strategy and financial planning and risk appetite statement monitoring therefore integrates risk limits and performance targets for the Bank and business groups and sets overall risk tolerance boundaries. Additionally, it guides management decision making to ensure compliance with regulatory constraints and react to changing economic conditions.

Stress testing is another key component of the quarterly risk reporting process to the Board and senior management. In addition to full scope semi-annual stress testing and annual multi-year stress testing exercise, stressed sensitivity analyses that assess the potential risk and the resulting impact due to stressed operating scenarios, both macroeconomic or/and idiosyncratic are produced quarterly. The Stress Testing Framework at SAB is comprehensive and enables management and the Board to assess the impact of different scenarios on the bank as a whole and specific portfolios and sub-portfolios in terms of credit quality, liquidity, and capital adequacy.

Internal Capital Adequacy Assessment Process (ICAAP) and Internal Liquidity Adequacy Assessment Process (ILAAP) are comprehensive exercises through which the Bank conducts a risk assessment on a forward-looking basis based on business plans and growth aspirations and risks to achieving those targets. The two processes are complementary and provide a complete overview of existing capital adequacy and future capital requirements and current and prospective liquidity requirements to the Board and senior management, which aids long term capital, balance sheet and liquidity management processes in the Bank.

Recovery and resolution is an integral part of the Bank's risk management framework to ensure financial stability. The recovery plan together with stress testing assists the Bank to understand the likely outcomes of adverse business or economic conditions and in the identification of appropriate risk mitigating action. The Bank is committed to further developing its capabilities in line with applicable local regulatory requirements.

Moreover, senior management exercises its risk management function through various management committees which require more frequent and more granular reporting on risk exposures.

(f) Qualitative information on stress testing

SAB undertakes a range of stress test scenarios to assess the risk and impact of different events on profitability, capital adequacy and liquidity. These include a multi-year stress test which is undertaken annually and informs the ICAAP process. In terms of governance, SAB has a Stress Testing Working Group comprising members from businesses and support areas to oversee the development and execution of stress tests within SAB across the various customer segments and risk categories.

SAB has maintained its stress testing framework in line with the Rules on Stress Testing for Banks under Circular reference 60687 BCS 38747 issued by SAMA in November 2011, Basel guidance and industry best practice. Under SAB's stress methodologies, the inputs to each stress test are based on a combination of analytical inputs and expert panels to review the quantitative data and incorporate qualitative factors. As part of the SAB stress testing framework, two reports are produced and submitted to SAMA in March (year-end data) and September (mid-year data) including details of the stress test carried out by the bank considering various customer segments and risk categories.

At least three stress-testing scenarios are applied to arrive at the stressed capital ratios, with a view to ensure that the Bank remains adequately capitalized and liquid under stressed conditions during economic down-turns or other stress events. Interim and ad hoc stress tests are also applied from time to time. Stress-testing procedures are in place for Credit, Market (trading book), Interest Rate (Banking book), Liquidity and Operational Risks. Complementary risks are covered under ICAAP and ILAAP.

SAB also runs a series of reverse stress tests to consider scenarios beyond normal business settings to evaluate potential vulnerabilities and assess the mitigation required.

(g) The strategies and processes to manage, hedge and mitigate risks

The mitigation of credit risk is an important aspect of its effective management and takes many forms.

SAB grants facilities based on the borrower's ability to repay, rather than placing its reliance on credit risk mitigation. SAB nevertheless does hold a range of security to reduce the risk of loss and maximize recovery in case of default. These risk mitigants include but are not limited to cash, shares, real estate, guarantees and other security. Where applicable benefit is recognized under the Standardised approach in Pillar I.

International and Local Banks Guarantees are referred to Institutional Banking for counterparty and cross border country risk approval.

The granting of facilities and taking of collateral as risk mitigants is governed by defined policies and procedures, as well as the use of bank standard documentation that cater for the offset of credit balances against facilities granted, the control over the integrity and valuation of collateral, and the rights required to enforce and realize security.

A key element in the Bank's credit culture is the proactive management of the portfolio through:

- The regular review of facilities by lending and credit officers, at least annually.
- The operation of an independent special asset management function to handle non-performing and problem exposures.
- The Credit Review and Assurance undertake independent review (sample basis) of the entire credit risk management process across businesses, credit approvals and credit operations and provide assurance and expert advice on design and operating effectiveness of credit risk management.
- The central monitoring of credit concentration in certain countries, industries / sectors, products, customers and customer groups with periodic reports to RMC and to Board Risk Committee.
- The continual development of improved techniques for measuring and evaluating risk, and for optimizing risk-adjusted return on capital.
- The development and adoption of automated application processing and assessment systems, to enable consistency of decisions and an efficient framework for application processing.
- A structured framework of credit training and accreditation to build risk awareness and credit assessment capabilities.

Personal lending decisions are based on credit scoring models and decision strategies, developed using internal data and credit bureau information from SIMAH; with behavioural scoring applied to support credit card processing, authorisation, collections and limit review decisions.

For defaulted customers, impairment provisions (collective and discounted cash flow basis) are maintained in accordance with established IFRS accounting practices.

SAB operates dedicated special assets and recoveries teams to manage companies in financial distress and non-performing loans to maximise recovery rates. For high value and problematic accounts, the recovery process includes direct involvement from Legal. For personal banking there is a dedicated Collections function undertaking debt counselling and recovery activities at each stage of delinquency including the use of external and overseas recovery agencies.

SAB's Risk Appetite Statement (RAS) covers liquidity and funding risk and is approved by the BRC annually, and reviewed monthly through the RMC, with quarterly reports provided to the BRC.

SAB recognizes the importance of liquidity management and has in place a Liquidity Contingency Funding Plan (CFP) to provide guidance for the Liquidity and Capital Crisis Management Team (LCCMT) and the ALCO on how to approach any potential liquidity event, defining responsibilities and setting out a predetermined plan of action. The CFP is a crucial tool in effective liquidity and funding risk planning.

OV1: Overview of RWA (Figures in SAR 000's)

		a	b	c	Drivers behind significant differences in Dec-25 and Sep-25
		RWA		Minimum capital requirements	
		Dec-25	Sep-25	Dec-25	
1	Credit risk (excluding counterparty credit risk)	355,049,671	355,317,964	28,403,974	Notwithstanding balance sheet growth,RWAs remained almost unchanged,reflecting a favorable shift in the exposure mix toward lower risk-weighted exposures.
2	Of which: standardised approach (SA)	355,049,671	355,317,964	28,403,974	
3	Of which: foundation internal ratings-based (F-IRB) approach				
4	Of which: supervisory slotting approach				
5	Of which: advanced internal ratings-based (A-IRB) approach				
6	Counterparty credit risk (CCR)	2,262,100	1,614,413	180,968	Mainy due to the interest rate movement
7	Of which: standardised approach for counterparty credit risk	-	-	-	
8	Of which: IMM				
9	Of which: other CCR				
10	Credit valuation adjustment (CVA)	2,237,948	1,595,708	179,036	Mainy due to the interest rate movement
11	Equity positions under the simple risk weight approach and the internal model method during the five-year linear phase-in period	-	-	-	
12	Equity investments in funds - look-through approach	-	-	-	
13	Equity investments in funds - mandate-based approach	-	-	-	
14	Equity investments in funds - fall-back approach	138,000	212,714	11,040	
15	Settlement risk	-	-	-	
16	Securitisation exposures in banking book	-	-	-	
17	Of which: securitisation IRB approach (SEC-IRBA)	-	-	-	
18	Of which: securitisation external ratings-based approach (SEC-ERBA), including internal assessment approach (IAA)	-	-	-	
19	Of which: securitisation standardised approach (SEC-SA)	-	-	-	
20	Market risk	1,734,293	5,669,526	138,743	Mainly due to Equity Reclassification
21	Of which: standardised approach (SA)	1,734,293	5,669,526	138,743	
22	Of which: internal model approach (IMA)				
23	Capital charge for switch between trading book and banking book	-	-	-	
24	Operational risk	14,221,244	14,221,244	1,137,699	
25	Amounts below the thresholds for deduction (subject to 250% risk weight)	-	-	-	
26	Output floor applied				
27	Floor adjustment (before application of transitional cap)	-			
28	Floor adjustment (after application of transitional cap)	-			
29	Total (1 + 6 + 10 + 11 + 12 + 13 + 14 + 15 + 16 + 20 + 23 + 24 + 25 + 28)	375,643,255	378,631,569	30,051,460	

LIA: Explanations of differences between accounting and regulatory exposure amounts

(a) Explanation of significant differences between the amounts in columns (a) and (b) in LI1

This section sets out the main reasons why the measurement of regulatory exposures is not directly comparable with the financial information presented in the Annual Report and Accounts.

The basis of consolidation for the purpose of financial accounting under IFRSs, described in Note no. 1 of the 2025 Annual Report and Accounts, differs from that used for regulatory purposes as described below.

The 2025 Pillar 3 Disclosures are prepared in accordance with regulatory capital adequacy concepts and rules, while the Annual Report and Accounts 2024 are prepared in accordance with IFRSs. The purpose of the regulatory balance sheet is to provide a point-in-time (PIT') value of all balance sheet assets. The regulatory exposure value includes an estimation of risk and is expressed as the amount expected to be outstanding if and when the counterparty defaults.

There is no difference between total assets on the regulatory balance sheet is shown in table LI1.

(b) Explanation of the origins of differences between carrying values and amounts considered for regulatory purposes shown in LI2

On-Balance Sheet

In case of On-Balance Sheet items, currently there are some differences between carrying values and amounts considered for regulatory purposes such as certain provisions, collateral and deconsolidation of insurance entity.

Under IFRS, netting is only permitted if legal right of set-off exists and the cash flows are intended to be settled on a net basis. Under Basel regulatory rules, however, netting is applied for capital calculations if there is legal certainty, and the positions are managed on a net collateralised basis. As a consequence, the bank recognises greater netting under the Basel rules, reflecting the close-out provisions that would take effect in the event of default of a counterparty rather than just those transactions that are actually settled net in the normal course of business.

Fair value is defined as the best estimate of the price that would be received to sell an asset or be paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Off-Balance Sheet & Derivatives

In case of Off-Balance sheet and Derivatives Notional values are populated as total carrying / accounting value whereas credit equivalent amounts (i.e. after applying conversion factors including Add-on adjustments in case of Derivative portfolio are populated under respective regulatory framework.

(c) Valuation methodologies

For details refer to published Financial Statement note 1.1 Basis of preparation section f) ii. Fair Value Measurement.

LI1 Differences between accounting and regulatory scopes of consolidation and mapping of financial statements with regulatory risk categories (Figures in SAR 000's)

	a	b	c	d	e	f	g
	Carrying value of items						
	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation	Subject to credit risk framework	Subject to counterparty credit risk framework	Subject to the securitization framework	Subject to the market risk framework	Not subject to capital requirements or subject to deduction from capital
Assets							
1 Cash and balances with SAMA	23,840,096	23,840,096	23,840,096	-	-	-	-
2 Investments, net	107,641,898	107,641,898	107,641,898	-	-	17,882,774	-
3 Positive fair value derivatives, net	2,405,729	2,405,729	-	2,405,729	-	-	-
4 Due from banks and other financial institutions, net	2,878,181	2,878,181	2,878,181	-	-	424,297	-
5 Loans and advances, net	298,626,505	298,626,505	298,626,505	-	-	-	-
6 Other assets	3,856,506	3,856,506	3,856,506	-	-	-	-
7 Investment in an associates	399,507	399,507	399,507	-	-	-	-
8 Goodwill and intangible assets	11,219,326	11,219,326	-	-	-	-	11,219,326
Of which: goodwill	8,778,091	8,778,091	-	-	-	-	8,778,091
Of which: other intangibles (excluding MSR) b	2,441,235	2,441,235	-	-	-	-	2,441,235
Of which: MSR	-	-	-	-	-	-	-
9 Property, equipment and right of use assets, net	3,586,736	3,586,736	3,586,736	-	-	-	-
Total Assets	454,454,484	454,454,484	440,829,429	2,405,729	-	18,307,071	11,219,326
Liabilities							
10 Due to banks and other financial institutions	25,700,960	-	-	-	-	-	-
11 Customers' deposits	323,273,854	-	-	-	-	-	-
12 Negative fair value derivatives	2,273,572	2,273,572	-	2,273,572	-	-	-
13 Debt securities in issue	7,895,554	-	-	-	-	-	-
14 Other liabilities	15,972,005	-	-	-	-	-	-
Total Liabilities	375,115,945	2,273,572	-	2,273,572	-	-	-

LI2 Main sources of differences between regulatory exposure amounts and carrying values in financial statements (Figures in SAR 000's)

	a	b	c	d	e
		Items subject to			
	Total	Credit risk framework	Securitisation framework	Counterparty credit risk framework	Market risk framework
1 Asset carrying value amount under scope of regulatory consolidation (as per Template LI1)	443,235,158	440,829,429	-	2,405,729	18,307,071
2 Liabilities carrying value amount under regulatory scope of consolidation (as per Template LI1)	2,273,572	-	-	-	-
3 Total net amount under regulatory scope of consolidation (Row 1 - Row 2)	440,961,586	440,829,429	-	2,405,729	18,307,071
4 Off-balance sheet amounts	358,302,111	358,302,111	-	-	-
5 Differences in valuations	-	-	-	-	-
6 Differences due to different netting rules, other than those already included in row 2	-	26,542,581	-	-	-
7 Differences due to consideration of provisions	-	3,606,095	-	-	-
8 Differences due to prudential filters	-	-	-	-	-
9 Derivatives	132,157	-	-	5,305,507	-
10 Exposure amounts considered for regulatory purposes	799,395,854	799,131,540	-	7,711,236	18,307,071

CC1: Composition of regulatory capital (Figures in SAR 000's)

		a	b	Commentary to explain any significant changes over the reporting period and the key drivers of such change
		Amounts	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation	
Common Equity Tier 1 capital: instruments and reserves				
1	Directly issued qualifying common share (and equivalent for non-joint stock companies) capital plus related stock surplus	20,547,945	c	
2	Retained earnings	17,685,699	f+g	
3	Accumulated other comprehensive income (and other reserves)	28,718,395	d+e	
4	Directly issued capital subject to phase-out from CET1 capital (only applicable to non-joint stock companies)	-		
5	Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1 capital)	-		
6	Common Equity Tier 1 capital before regulatory adjustments	66,952,039		
Common Equity Tier 1 capital: regulatory adjustments				
7	Prudent valuation adjustments	-		
8	Goodwill (net of related tax liability)	(8,778,091)		
9	Other intangibles other than mortgage servicing rights (MSR) (net of related tax liability)	(2,441,235)		
10	Deferred tax assets (DTA) that rely on future profitability, excluding those arising from temporary differences (net of related tax liability)	-		
11	Cash flow hedge reserve	-		
12	Shortfall of provisions to expected losses	-		
13	Securitisation gain on sale (as set out in SACAP4.1.4)	-		
14	Gains and losses due to changes in own credit risk on fair valued liabilities	-		
15	Defined benefit pension fund net assets	-		
16	Investments in own shares (if not already subtracted from paid-in capital on reported balance sheet)	-		

CC1: Composition of regulatory capital (Figures in SAR 000's)

17	Reciprocal cross-holdings in common equity	-	
18	Investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)	-	
19	Significant investments in the common stock of banking, financial and insurance entities that are outside the scope of regulatory consolidation (amount above 10% threshold)	-	
20	MSR (amount above 10% threshold)	-	
21	DTA arising from temporary differences (amount above 10% threshold, net of related tax liability)	-	
22	Amount exceeding the 15% threshold	-	
23	Of which: significant investments in the common stock of financials	-	
24	Of which: MSR	-	
25	Of which: DTA arising from temporary differences	-	
26	National specific regulatory adjustments	-	
27	Regulatory adjustments applied to Common Equity Tier 1 capital due to insufficient Additional Tier 1 and Tier 2 capital to cover deductions	-	
28	Total regulatory adjustments to Common Equity Tier 1 capital	(11,219,326)	
29	Common Equity Tier 1 capital (CET1)	55,732,713	
Additional Tier 1 capital: instruments			
30	Directly issued qualifying additional Tier 1 instruments plus related stock surplus	12,386,500	i
31	Of which: classified as equity under applicable accounting standards	12,386,500	
32	Of which: classified as liabilities under applicable accounting standards	-	
33	Directly issued capital instruments subject to phase-out from additional Tier 1 capital	-	
34	Additional Tier 1 instruments (and CET1 instruments not included in row 5) issued by subsidiaries and held by third parties (amount allowed in group additional Tier 1 capital)	-	
35	Of which: instruments issued by subsidiaries subject to phase-out	-	
36	Additional Tier 1 capital before regulatory adjustments	12,386,500	

CC1: Composition of regulatory capital (Figures in SAR 000's)

Additional Tier 1 capital: regulatory adjustments		
37	Investments in own additional Tier 1 instruments	-
38	Reciprocal cross-holdings in additional Tier 1 instruments	-
39	Investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)	-
40	Significant investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation	-
41	National specific regulatory adjustments	-
42	Regulatory adjustments applied to additional Tier 1 capital due to insufficient Tier 2 capital to cover deductions	-
43	Total regulatory adjustments to additional Tier 1 capital	-
44	Additional Tier 1 capital (AT1)	12,386,500
45	Tier 1 capital (T1 = CET1 + AT1)	68,119,213
Tier 2 capital: instruments and provisions		
46	Directly issued qualifying Tier 2 instruments plus related stock surplus	4,687,500 b
47	Directly issued capital instruments subject to phase-out from Tier 2 capital	-
48	Tier 2 instruments (and CET1 and AT1 instruments not included in rows 5 or 34) issued by subsidiaries and held by third parties (amount allowed in group Tier 2)	-
49	Of which: instruments issued by subsidiaries subject to phase-out	-
50	Provisions	1,007,547
51	Tier 2 capital before regulatory adjustments	5,695,047 a
Tier 2 capital: regulatory adjustments		
52	Investments in own Tier 2 instruments	-
53	Reciprocal cross-holdings in Tier 2 instruments and other TLAC liabilities	-

CC1: Composition of regulatory capital (Figures in SAR 000's)

54	Investments in the capital and other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)	-
54a	Investments in the other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation and where the bank does not own more than 10% of the issued common share capital of the entity: amount previously designated for the 5% threshold but that no longer meets the conditions (for G-SIBs only)	-
55	Significant investments in the capital and other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation (net of eligible short positions)	-
56	National specific regulatory adjustments	-
57	Total regulatory adjustments to Tier 2 capital	-
58	Tier 2 capital	5,695,047
59	Total regulatory capital (= Tier 1 + Tier2)	73,814,260
60	Total risk-weighted assets	375,643,255
Capital adequacy ratios and buffers		
61	Common Equity Tier 1 capital (as a percentage of risk-weighted assets)	14.84%
62	Tier 1 capital (as a percentage of risk-weighted assets)	18.13%
63	Total capital (as a percentage of risk-weighted assets)	19.65%
64	Institution-specific buffer requirement (capital conservation buffer plus countercyclical buffer requirements plus higher loss absorbency requirement, expressed as a percentage of riskweighted assets)	3.03%
65	Of which: capital conservation buffer requirement	2.50%
66	Of which: bank-specific countercyclical buffer requirement	0.03%
67	Of which: higher loss absorbency requirement	0.50%
68	Common Equity Tier 1 capital (as a percentage of risk-weighted assets) available after meeting the bank's minimum capital requirements	7.31%
National minima (if different from Basel III)		

CC1: Composition of regulatory capital (Figures in SAR 000's)

69	National minimum Common Equity Tier 1 capital adequacy ratio (if different from Basel III minimum)	N/A
70	National minimum Tier 1 capital adequacy ratio (if different from Basel III minimum)	N/A
71	National minimum Total capital adequacy ratio (if different from Basel III minimum)	N/A
Amounts below the thresholds for deduction (before risk-weighting)		
72	Non-significant investments in the capital and other TLAC liabilities of other financial entities	-
73	Significant investments in the common stock of financial entities	-
74	MSR (net of related tax liability)	-
75	DTA arising from temporary differences (net of related tax liability)	-
Applicable caps on the inclusion of provisions in Tier 2 capital		
76	Provisions eligible for inclusion in Tier 2 capital in respect of exposures subject to standardised approach (prior to application of cap)	1,007,547
77	Cap on inclusion of provisions in Tier 2 capital under standardised approach	-
78	Provisions eligible for inclusion in Tier 2 capital in respect of exposures subject to internal ratings-based approach (prior to application of cap)	-
79	Cap for inclusion of provisions in Tier 2 capital under internal ratings-based approach	-
Capital instruments subject to phase-out arrangements (only applicable between 1 Jan 2018 and 1 Jan 2022)		
80	Current cap on CET1 instruments subject to phase-out arrangements	-
81	Amount excluded from CET1 capital due to cap (excess over cap after redemptions and maturities)	-
82	Current cap on AT1 instruments subject to phase-out arrangements	-
83	Amount excluded from AT1 capital due to cap (excess over cap after redemptions and maturities)	-
84	Current cap on Tier 2 instruments subject to phase-out arrangements	-
85	Amount excluded from Tier 2 capital due to cap (excess over cap after redemptions and maturities)	-

CC2: Reconciliation of regulatory capital to balance sheet (Figures in SAR 000's)

	a	b	c
	Balance sheet as in published financial statements	Under regulatory scope of consolidation	Reference
	Dec-25	Dec-25	
Assets			
1 Cash and balances with SAMA	23,840,096	23,840,096	
2 Items in the course of collection from other banks	-	-	
3 Investments, net	107,641,898	107,641,898	
4 Financial assets designated at fair value	-	-	
5 Positive fair value derivatives, net	2,405,729	2,405,729	
6 Due from banks and other financial institutions, net	2,878,181	2,878,181	
7 Loans and advances, net	298,626,505	298,626,505	
8 Reverse repurchase agreements and other similar secured lending	-	-	
9 Available for sale financial investments	-	-	
10 Current and deferred tax assets	-	-	
11 Other assets	3,856,506	3,856,506	
12 Investment in an associates	399,507	399,507	
13 Goodwill and intangible assets	11,219,326	11,219,326	
<i>Of which: goodwill</i>	8,778,091	8,778,091	
<i>Of which: other intangibles (excluding MSR) b</i>	2,441,235	2,441,235	
<i>Of which: MSR</i>	-	-	
14 Property, equipment and right of use assets, net	3,586,736	3,586,736	
15 Total assets	454,454,484	454,454,484	
Liabilities			
16 Due to banks and other financial institutions	25,700,960	-	
17 Items in the course of collection due to other banks	-	-	
18 Customers' deposits	323,273,854	-	
19 Repurchase agreements and other similar secured borrowing	-	-	
20 Trading portfolio liabilities	-	-	
21 Financial liabilities designated at fair value	-	-	
22 Negative fair value derivatives	2,273,572	2,273,572	
23 Debt securities in issue	7,895,554	-	b
24 Other liabilities	15,972,005	-	
25 Current and deferred tax liabilities	-	-	
26 Subordinated liabilities	-	-	
27 Provisions	-	-	
28 Retirement benefit liabilities	-	-	
29 Total liabilities	375,115,945	2,273,572	
Shareholders' equity			
30 Paid-in share capital	20,547,945	20,547,945	c
<i>Of which: amount eligible for CET1 capital h</i>	20,547,945	20,547,945	
31 Additional Tier 1 Capital	12,386,500	12,386,500	
32 Retained earnings	17,685,699	17,685,699	f
33 Accumulated other comprehensive income	28,718,395	28,718,395	g
34 Total shareholders' equity	79,338,539	79,338,539	

CDC: Capital distribution constraints		a	b	Constrains imposed
		CET1 capital ratio that would trigger capital distribution constraints (%)	Current CET1 capital ratio (%)	
1	CET1 minimum requirement plus Basel III buffers (not taking into account CET1 capital used to meet other minimum regulatory capital/ TLAC ratios)	7.53%	14.84%	
2	CET1 capital plus Basel III buffers (taking into account CET1 capital used to meet other minimum regulatory capital/ TLAC ratios)	7.53%	14.84%	
		Leverage ratio that would trigger capital distribution constraints (%)	Current leverage ratio (%)	
3	[Applicable only for G-SIBs] Leverage ratio	N/A	N/A	

CCA: Main features of regulatory capital instruments and of other TLAC-eligible instruments (Figures in SAR 000's) - Tier 1

	Quantitative / qualitative information
1 Issuer	Saudi Awwal Bank (SAB)
Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	ISIN No.SA1STFK0JVJ0
3 Governing law(s) of the instrument	The instrument is governed by the laws of the Kingdom of Saudi Arabia
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	NA
4 Transitional Basel III rules	Additional Tier 1
5 Post-transitional Basel III rules	Eligible
6 Eligible at solo/group/group and solo	group and solo
7 Instrument type (refer to SACAP)	SAR denominated Additional Tier 1 capital sukuk
8 Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	SAR 4,000mil
9 Par value of instrument	SAR 4,000mil
10 Accounting classification	Shareholders' Equity
11 Original date of issuance	31 October 2023
12 Perpetual or dated	Perpetual
13 Original maturity date	No Maturity
14 Issuer call subject to prior SAMA approval	Yes
15 Optional call date, contingent call dates and redemption amount	First Call Date 31 October 2028
16 Subsequent call dates, if applicable	As above
Coupons / dividends	
17 Fixed or floating dividend/coupon	Floating
18 Coupon rate and any related index	3 months SAIBOR + 125bps
19 Existence of a dividend stopper	Yes
20 Fully discretionary, partially discretionary or mandatory	Fully Discretionary
21 Existence of step-up or other incentive to redeem	No
22 Non-cumulative or cumulative	Non cumulative
23 Convertible or non-convertible	Non - convertible
24 If convertible, conversion trigger(s)	N/A
25 If convertible, fully or partially	N/A
26 If convertible, conversion rate	N/A
27 If convertible, mandatory or optional conversion	N/A
28 If convertible, specify instrument type convertible into	N/A
29 If convertible, specify issuer of instrument it converts into	N/A
30 Writedown feature	Yes
31 If writedown, writedown trigger(s)	Terms of contract of the instrument provide the legal basis for SAMA as a regulator to trigger write-down.
32 If writedown, full or partial	Written down fully or partial
33 If writedown, permanent or temporary	Permanent
34 If temporary write-down, description of writeup mechanism	N/A
34a Type of subordination	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	The Sukuk and the Relevant Obligations in respect of each Series of Sukuk will each constitute direct, unsecured, conditional and subordinated obligations of the Issuer and shall, upon the occurrence of a Winding Up Proceeding rank: (1) subordinate and junior to all Senior Obligations but not further or otherwise; (2) pari passu with all other Pari Passu Obligations; and (3) in priority only to all Junior Obligations.
35 Non-compliant transitioned features	N/A
37 If yes, specify non-compliant features	N/A

CCA: Main features of regulatory capital instruments and of other TLAC-eligible instruments (Figures in SAR 000's) - Tier 1

Quantitative / qualitative information	
1 Issuer	Saudi Awwal Bank (SAB)
Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	ISIN No.SA165VK0M236
3 Governing law(s) of the instrument	The instrument is governed by the laws of the Kingdom of Saudi Arabia
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	NA
4 Transitional Basel III rules	Additional Tier 1
5 Post-transitional Basel III rules	Eligible
6 Eligible at solo/group/group and solo	group and solo
7 Instrument type (refer to SACAP)	SAR denominated Additional Tier 1 capital sukuk
8 Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	SAR 350mil
9 Par value of instrument	SAR 350mil
10 Accounting classification	Shareholders' Equity
11 Original date of issuance	12 December 2024
12 Perpetual or dated	Perpetual
13 Original maturity date	No Maturity
14 Issuer call subject to prior SAMA approval	Yes
15 Optional call date, contingent call dates and redemption amount	Perpetual with a call option in year 5
16 Subsequent call dates, if applicable	As above
Coupons / dividends	
17 Fixed or floating dividend/coupon	Floating
18 Coupon rate and any related index	Floating 3 months SAIBOR + 134bps
19 Existence of a dividend stopper	Yes
20 Fully discretionary, partially discretionary or mandatory	Fully Discretionary
21 Existence of step-up or other incentive to redeem	No
22 Non-cumulative or cumulative	Non cumulative
23 Convertible or non-convertible	Non - convertible
24 If convertible, conversion trigger(s)	N/A
25 If convertible, fully or partially	N/A
26 If convertible, conversion rate	N/A
27 If convertible, mandatory or optional conversion	N/A
28 If convertible, specify instrument type convertible into	N/A
29 If convertible, specify issuer of instrument it converts into	N/A
30 Writedown feature	Yes
31 If writedown, writedown trigger(s)	Terms of contract of the instrument provide the legal basis for SAMA as a regulator to trigger write-down.
32 If writedown, full or partial	Written down fully or partial
33 If writedown, permanent or temporary	Permanent
34 If temporary write-down, description of writeup mechanism	N/A
34a Type of subordination	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	The Sukuk and the Relevant Obligations in respect of each Series of Sukuk will each constitute direct, unsecured, conditional and subordinated obligations of the Issuer and shall, upon the occurrence of a Winding Up Proceeding rank: (1) subordinate and junior to all Senior Obligations but not further or otherwise; (2) pari passu with all other Pari Passu Obligations; and (3) in priority only to all Junior Obligations.
35 Non-compliant transitioned features	N/A
37 If yes, specify non-compliant features	N/A

CCA: Main features of regulatory capital instruments and of other TLAC-eligible instruments (Figures in SAR 000's) - Tier 1

a	
Quantitative / qualitative information	
1 Issuer	Saudi Awwal Bank (SAB)
Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	ISIN No.SA165VK0J5J8
3 Governing law(s) of the instrument	The instrument is governed by the laws of the Kingdom of Saudi Arabia
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	NA
4 Transitional Basel III rules	Additional Tier 1
5 Post-transitional Basel III rules	Eligible
6 Eligible at solo/group/group and solo	group and solo
7 Instrument type (refer to SACAP)	SAR denominated Additional Tier 1 capital sukuk
8 Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	SAR 3,650mil
9 Par value of instrument	SAR 3,650mil
10 Accounting classification	Shareholders' Equity
11 Original date of issuance	12 December 2024
12 Perpetual or dated	Perpetual
13 Original maturity date	No Maturity
14 Issuer call subject to prior SAMA approval	Yes
15 Optional call date, contingent call dates and redemption amount	Perpetual with a call option in year 5
16 Subsequent call dates, if applicable	As above
Coupons / dividends	
17 Fixed or floating dividend/coupon	Fixed
18 Coupon rate and any related index	6.07% per annum fixed rate payable quarterly
19 Existence of a dividend stopper	Yes
20 Fully discretionary, partially discretionary or mandatory	Fully Discretionary
21 Existence of step-up or other incentive to redeem	No
22 Non-cumulative or cumulative	Non cumulative
23 Convertible or non-convertible	Non - convertible
24 If convertible, conversion trigger(s)	N/A
25 If convertible, fully or partially	N/A
26 If convertible, conversion rate	N/A
27 If convertible, mandatory or optional conversion	N/A
28 If convertible, specify instrument type convertible into	N/A
29 If convertible, specify issuer of instrument it converts into	N/A
30 Writedown feature	Yes
31 If writedown, writedown trigger(s)	Terms of contract of the instrument provide the legal basis for SAMA as a regulator to trigger write-down.
32 If writedown, full or partial	Written down fully or partial
33 If writedown, permanent or temporary	Permanent
34 If temporary write-down, description of writeup mechanism	N/A
34a Type of subordination	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	The Sukuk and the Relevant Obligations in respect of each Series of Sukuk will each constitute direct, unsecured, conditional and subordinated obligations of the Issuer and shall, upon the occurrence of a Winding Up Proceeding rank: (1) subordinate and junior to all Senior Obligations but not further or otherwise; (2) pari passu with all other Pari Passu Obligations; and (3) in priority only to all Junior Obligations.
35 Non-compliant transitioned features	N/A
37 If yes, specify non-compliant features	N/A

CCA: Main features of regulatory capital instruments and of other TLAC-eligible instruments (Figures in SAR 000's) - Tier 1

a	
Quantitative / qualitative information	
1 Issuer	Saudi Awwal Bank (SAB)
Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	ISIN No.SA16BVK0MN37
3 Governing law(s) of the instrument	The instrument is governed by the laws of the Kingdom of Saudi Arabia
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	NA
4 Transitional Basel III rules	Additional Tier 1
5 Post-transitional Basel III rules	Eligible
6 Eligible at solo/group/group and solo	group and solo
7 Instrument type (refer to SACAP)	SAR denominated Additional Tier 1 capital sukuk
8 Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	SAR 2,000mil
9 Par value of instrument	SAR 2,000mil
10 Accounting classification	Shareholders' Equity
11 Original date of issuance	24 July 2025
12 Perpetual or dated	Perpetual
13 Original maturity date	No Maturity
14 Issuer call subject to prior SAMA approval	Yes
15 Optional call date, contingent call dates and redemption amount	Perpetual with a call option in year 5
16 Subsequent call dates, if applicable	As above
Coupons / dividends	
17 Fixed or floating dividend/coupon	Fixed
18 Coupon rate and any related index	6.30% per annum fixed rate payable quarterly
19 Existence of a dividend stopper	Yes
20 Fully discretionary, partially discretionary or mandatory	Fully Discretionary
21 Existence of step-up or other incentive to redeem	No
22 Non-cumulative or cumulative	Non cumulative
23 Convertible or non-convertible	Non - convertible
24 If convertible, conversion trigger(s)	N/A
25 If convertible, fully or partially	N/A
26 If convertible, conversion rate	N/A
27 If convertible, mandatory or optional conversion	N/A
28 If convertible, specify instrument type convertible into	N/A
29 If convertible, specify issuer of instrument it converts into	N/A
30 Writedown feature	Yes
31 If writedown, writedown trigger(s)	Terms of contract of the instrument provide the legal basis for SAMA as a regulator to trigger write-down.
32 If writedown, full or partial	Written down fully or partial
33 If writedown, permanent or temporary	Permanent
34 If temporary write-down, description of writeup mechanism	N/A
34a Type of subordination	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	The Sukuk and the Relevant Obligations in respect of each Series of Sukuk will each constitute direct, unsecured, conditional and subordinated obligations of the Issuer and shall, upon the occurrence of a Winding Up Proceeding rank: (1) subordinate and junior to all Senior Obligations but not further or otherwise; (2) pari passu with all other Pari Passu Obligations; and (3) in priority only to all Junior Obligations.
35 Non-compliant transitioned features	N/A
37 If yes, specify non-compliant features	N/A

CCA: Main features of regulatory capital instruments and of other TLAC-eligible instruments (Figures in SAR 000's) - Tier 1

a	
Quantitative / qualitative information	
1 Issuer	Saudi Awwal Bank (SAB)
Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	ISIN No.XS3072307807
3 Governing law(s) of the instrument	The instrument is governed by the English Law
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	NA
4 Transitional Basel III rules	Additional Tier 1
5 Post-transitional Basel III rules	Eligible
6 Eligible at solo/group/group and solo	group and solo
7 Instrument type (refer to SACAP)	SAR denominated Additional Tier 1 capital sukuk
8 Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	USD 650mil
9 Par value of instrument	USD 650mil
10 Accounting classification	Shareholders' Equity
11 Original date of issuance	21 May 2025
12 Perpetual or dated	Perpetual
13 Original maturity date	No Maturity
14 Issuer call subject to prior SAMA approval	Yes
15 Optional call date, contingent call dates and redemption amount	Perpetual with a call option in year 5
16 Subsequent call dates, if applicable	As above
Coupons / dividends	
17 Fixed or floating dividend/coupon	Fixed
18 Coupon rate and any related index	6.50% per annum fixed rate payable quarterly
19 Existence of a dividend stopper	Yes
20 Fully discretionary, partially discretionary or mandatory	Fully Discretionary
21 Existence of step-up or other incentive to redeem	No
22 Non-cumulative or cumulative	Non cumulative
23 Convertible or non-convertible	Non - convertible
24 If convertible, conversion trigger(s)	N/A
25 If convertible, fully or partially	N/A
26 If convertible, conversion rate	N/A
27 If convertible, mandatory or optional conversion	N/A
28 If convertible, specify instrument type convertible into	N/A
29 If convertible, specify issuer of instrument it converts into	N/A
30 Writedown feature	Yes
31 If writedown, writedown trigger(s)	Terms of contract of the instrument provide the legal basis for SAMA as a regulator to trigger write-down.
32 If writedown, full or partial	Written down fully or partial
33 If writedown, permanent or temporary	Permanent
34 If temporary write-down, description of writeup mechanism	N/A
34a Type of subordination	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	The Sukuk and the Relevant Obligations in respect of each Series of Sukuk will each constitute direct, unsecured, conditional and subordinated obligations of the Issuer and shall, upon the occurrence of a Winding Up Proceeding rank: (1) subordinate and junior to all Senior Obligations but not further or otherwise; (2) pari passu with all other Pari Passu Obligations; and (3) in priority only to all Junior Obligations.
35 Non-compliant transitioned features	N/A
37 If yes, specify non-compliant features	N/A

CCA: Main features of regulatory capital instruments and of other TLAC-eligible instruments (Figures in SAR 000's) - Tier 2

	a
	Quantitative / qualitative information
1 Issuer	Saudi Awwal Bank (SAB)
Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	ISIN No.XS3170344314
3 Governing law(s) of the instrument	The instrument is governed by the English Law
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	NA
4 Transitional Basel III rules	Tier 2
5 Post-transitional Basel III rules	Eligible
6 Eligible at solo/group/group and solo	Group and solo
7 Instrument type (refer to SACAP)	Subordinated Sukuk
8 Amount recognised in regulatory capital (currency in millions, as of most recent reporting date)	USD 1,250mil
9 Par value of instrument	USD 1,250mil
10 Accounting classification	Liability
11 Original date of issuance	4 September 2025
12 Perpetual or dated	Dated
13 Original maturity date	4 September 2035
14 Issuer call subject to prior SAMA approval	Yes
15 Optional call date, contingent call dates and redemption amount	Call option only available after 5 years or for a regulatory or tax event, 04 September 2030 as the date for redemption, SAB shall be entitled to redeem in whole, but not in part, by giving not less than thirty (30) days' not more than sixty (60) days' notice to the Sukukholders
16 Subsequent call dates, if applicable	As above
Coupons / dividends	
17 Fixed or floating dividend/coupon	Fixed
18 Coupon rate and any related index	5.95% per annum fixed rate payable Semi-annually
19 Existence of a dividend stopper	No
20 Fully discretionary, partially discretionary or mandatory	Mandatory
21 Existence of step-up or other incentive to redeem	No
22 Non-cumulative or cumulative	N/A
23 Convertible or non-convertible	Non - convertible
24 If convertible, conversion trigger(s)	N/A
25 If convertible, fully or partially	N/A
26 If convertible, conversion rate	N/A
27 If convertible, mandatory or optional conversion	N/A
28 If convertible, specify instrument type convertible into	N/A
29 If convertible, specify issuer of instrument it converts into	N/A
30 Writedown feature	Yes
31 If writedown, writedown trigger(s)	Terms of contract of the instrument provide the legal basis for SAMA to trigger write-down (a contractual approach)
32 If writedown, full or partial	Written down fully or partial
33 If writedown, permanent or temporary	Permanent
34 If temporary write-down, description of writeup mechanism	N/A
34a Type of subordination	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Subordinated. Unsubordinated payment obligations are senior to this instrument. This instrument will rank pari-passu with all other subordinated payment obligations of the issuer which do not rank or are not expressed by their terms to rank junior to the payment obligations of this instrument, and in priority to all claims of shareholders of the issuer.
35	
36 Non-compliant transitioned features	N/A
37 If yes, specify non-compliant features	N/A

CCyB1 - Geographical distribution of credit exposures used in the calculation of the bank-specific countercyclical capital buffer requirement (Figures in SAR 000's)

Geographical breakdown	a	b	c	d	e
	Countercyclical capital buffer rate	Exposure values and/or risk-weighted assets (RWA) used in the computation		Bank-specific countercyclical capital buffer rate	Countercyclical capital buffer amount
		Exposure values	RWA		
G	a	b	c	d	e
Saudi Arabia	0.00%	581,082,436	324,972,662		-
Afghanistan	2.50%	918	430		11
Algeria	2.50%	51	38		1
Australia	1.00%	17,581	17,158		172
Austria	0.00%	70	52		-
Bahrain	2.50%	2,149	1,588		40
Bangladesh	2.50%	175	125		3
Belgium	0.00%	160	120		-
Canada	0.00%	65,326	64,008		-
China	0.00%	5,443	3,779		-
Denmark	2.50%	549	412		10
Egypt	2.50%	5,968	3,528		88
Germany	0.75%	1,308	937		7
Greece	0.00%	345	240		-
Hong Kong	0.50%	2,562	1,916		10
India	0.00%	13,112	11,078		-
Indonesia	0.00%	129	97		-
Iraq	2.50%	5	3		0
Italy	0.00%	78,205	91,727		-
Japan	0.00%	161,472	161,472		-
Jordan	2.50%	4,708	3,521		88
Korea S.	1.00%	8,226,964	4,258,607		42,586
Kuwait	2.50%	30,134	30,063		752
Lebanon	2.50%	1,352	991		25
Malaysia	2.50%	1,539	1,117		28
Morocco	2.50%	116	87		2
Nepal	2.50%	34	25		1
Netherlands	2.00%	20,005	7,882		158
New Zealand	2.50%	19	14		0
Nigeria	2.50%	69	52		1
Norway	2.50%	28	13		0
Oman	2.50%	8,059	7,819		195
Pakistan	2.50%	3,778	2,743		69
Philippines	0.00%	5,459	3,961		-
Qatar	2.50%	20,103	20,090		502
Singapore	0.00%	64,063	53,587		-
South Africa	0.00%	1,086	814		-
Spain	0.50%	941,616	95,865		479
Sri Lanka	2.50%	1,584	1,165		29
Sudan	2.50%	58	40		1
Sweden	2.00%	317	238		5
Switzerland	0.00%	1	1		-
Thailand	2.50%	14	10		0
Tunisia	2.50%	249	185		5
Turkey	0.00%	2,248	1,686		-
United Arab Emirates	0.00%	2,109,460	1,956,639		-
United Kingdom	2.00%	2,137,472	824,152		16,483
United States	0.00%	1,096,312	831,439		-
Venezuela	2.50%	6	5		0
Residual Other European Countries	2.50%	7,853,393	112,533		2,813
Residual Other African Countries	2.50%	13	6		0
Residual Other Middle Eastern Countries	2.50%	3,517	2,478		62
International Inst.	2.50%	4	3		0
Unallocated	0.00%	5,931,437	5,416,697		33,144
SUM		9,291,751	5,395,839		
Total		609,903,184	338,965,899	0.029%	97,770

LR1- Summary comparison of accounting assets vs leverage ratio exposure measure (Figures in SAR 000's)

#	Particulars	a
1	Total consolidated assets as per published financial statements	441,714,843
2	Adjustment for investments in banking, financial, insurance or commercial entities that are consolidated for accounting purposes but outside the scope of regulatory consolidation	-
3	Adjustment for securitised exposures that meet the operational requirements for the recognition of risk transference	-
4	Adjustments for temporary exemption of central bank reserves (if applicable)	-
5	Adjustment for fiduciary assets recognised on the balance sheet pursuant to the operative accounting framework but excluded from the leverage ratio exposure measure	-
6	Adjustments for regular-way purchases and sales of financial assets subject to trade date accounting	-
7	Adjustments for eligible cash pooling transactions	-
8	Adjustments for derivative financial instruments	4,261,295
9	Adjustment for securities financing transactions (ie repurchase agreements and similar secured lending)	924,619
10	Adjustment for off-balance sheet items (ie conversion to credit equivalent amounts of offbalance sheet exposures)	121,083,383
11	Adjustments for prudent valuation adjustments and specific and general provisions which have reduced Tier 1 capital	-
12	Other adjustments	-
13	Leverage ratio exposure measure	567,984,139

LR2- Leverage ratio common disclosure template (Figures in SAR 000's)

		a	b
		Dec-25	Sep-25
On Balance sheet exposures			
1	On-balance sheet exposures (excluding derivatives and securities financing transactions (SFTs), but including collateral)	441,714,843	432,627,871
2	Gross-up for derivatives collateral provided where deducted from balance sheet assets pursuant to the operative accounting framework	-	-
3	(Deductions of receivable assets for cash variation margin provided in derivatives transactions)	-	-
4	(Adjustment for securities received under securities financing transactions that are recognised as an asset)	-	-
5	(Specific and general provisions associated with on-balance sheet exposures that are deducted from Basel III Tier 1 capital)	-	-
6	(Asset amounts deducted in determining Basel III Tier 1 capital and regulatory adjustments)	-	-
7	Total on-balance sheet exposures (excluding derivatives and SFTs) (sum of rows 1 to 6)	441,714,843	432,627,871
Derivative exposures			
8	Replacement cost associated with all derivatives transactions (where applicable net of eligible cash variation margin and/or with bilateral netting)	1,970,787	915,486
9	Add-on amounts for potential future exposure associated with all derivatives transactions	2,290,508	2,613,240
10	(Exempted central counterparty (CCP) leg of client-cleared trade exposures)	-	-
11	Adjusted effective notional amount of written credit derivatives	-	-
12	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)	-	-
13	Total derivative exposures (sum of rows 8 to 12)	4,261,295	3,528,726
Securities financing transaction exposures			
14	Gross SFT assets (with no recognition of netting), after adjustment for sale accounting transactions	924,619	2,118,943
15	(Netted amounts of cash payables and cash receivables of gross SFT assets)	-	-
16	Counterparty credit risk exposure for SFT assets	-	-
17	Agent transaction exposures	-	-
18	Total securities financing transaction exposures (sum of rows 14 to 17)	924,619	2,118,943
Other off balance sheet exposures			
19	Off-balance sheet exposure at gross notional amount	358,302,111	352,037,082
20	(Adjustments for conversion to credit equivalent amounts)	(237,218,729)	(234,583,661)
21	(Specific and general provisions associated with off-balance sheet exposures deducted in determining Tier 1 capital)	-	-
22	Off-balance sheet items (sum of rows 19 to 21)	121,083,383	117,453,421
Capital and total exposures			
23	Tier 1 capital	68,119,213	66,888,722
24	Total exposures (sum of rows 7, 13, 18 and 22)	567,984,139	555,728,962
Leverage ratio			
25	Leverage ratio (including the impact of any applicable temporary exemption of central bank reserves)	11.99%	12.04%
25a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves)	11.99%	12.04%
26	National minimum leverage ratio requirement	3.00%	3.00%
27	Applicable leverage buffers	8.99%	9.04%
Disclosure of mean values			
28	Mean value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables	-	-
29	Quarter-end value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables	-	-
30	Total exposures (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	-	-
30a	Total exposures (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	-	-
31	Basel III leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	11.99%	12.04%
31a	Basel III leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	11.99%	12.04%

The increase in the on-balance sheet and off-balance sheet exposures are offset by the decrease in SFT. This results in a minor decrease in the Leverage ratio over the quarters.

LIQA – Liquidity risk management

Liquidity risk is the risk that Saudi Awwal Bank (SAB) does not have sufficient financial resources to meet its obligations when they fall due or will have to do so at excessive cost. This risk can arise from mismatches in the timing of cash flows. Funding risk (a particular form of liquidity risk) arises when the necessary liquidity to fund illiquid asset positions cannot be obtained at the expected terms and when required.

(a) Governance of liquidity risk management

SAB has implemented a robust governance framework to provide oversight of the liquidity risk management. This is supported by the associated policies and procedures to ensure compliance with SAMA expectations and effective mitigating plans against the potential liquidity and funding risks in line with the established risk limits as a part of the annual ILAAP assessment.

SAB applies three lines of defense to support adequate oversight of the liquidity risk management activities including the board and their committees. The Board Risk Committee (BRC), the Audit Committee (AUCOM), the Risk Management Committee and ALCO have the primary responsibility to manage and oversight the Bank's overall liquidity risk profile. The Bank has also established various risk appetite and tolerance thresholds as part of its ongoing business activities. The ultimate responsibility for the governance of risk appetite rests with the BRC, which is designated committee of the Board. Any breach of the risk appetite including their cause and corrective actions initiated-are discussed monthly at ALCO, once every 2 months and quarterly at BRC meetings.

SAB has established the Contingency funding plan (CFP) which is updated and tested on annual basis and approved by the ALCO. The results of CFP are presented to the senior management for their perusal and actions.

(b) Funding Strategy

SAB's funding strategy ensures effective diversification in the sources and tenors of funding, comprising of mainly non-interest bearing accounts. The Funding plans and strategies are discussed in ALCO and reviewed as part of the planning process. Current accounts and savings deposits payable on demand or at short notice form a significant part of SAB's funding and there is considerable focus on maintaining the stability of such deposits. SAB manages and monitors depositor and debt security concentration in order to avoid undue reliance on large individual depositors and ensuring a satisfactory overall funding mix and maturity profile of deposit and debt securities. The Bank also projects the liquidity and funding ratios under the projected balance sheet to ensure that the forecasted liquidity metrics do not breach any established risk appetite limits emphasizing prioritizing funding over the lending.

SAB has access to a wide range of money market and the capital sources to cover the funding needs of its loans and advances including the access to the HSBC group to access funding. In addition to the funding needs in the Business-as-usual times, the Bank can access different funding sources that can be deployed in order to meet the funding requirements under the stressed times.

(c) Liquidity risk mitigation techniques

SAB maintains a cushion of unencumbered, high quality, liquid assets mainly comprising of deposits with the central bank, cash and unencumbered sovereign debt, that can be liquidated or repo'ed in times of stressed liquidity. SAB ensures that the funding requirements are adequate to deliver its strategy having consideration to the board approved risk appetite and the risk profile. The Bank continuously monitors and identifies the key liquidity risk drivers that are pertinent to its balance sheet structure, products and business activities. The Bank has strong liquidity monitoring and reporting system in place to avoid any breach of the internal and external liquidity metrics which include:

- Liquidity Coverage Ratio (LCR), Net Stable Funding Ratio (NSFR), Loans to Deposit Ratio (LDR) and Statutory Liquidity Ratio (SLR);
- Concentration risk limits;
- Maturity mismatch report;
- Intraday risk limits;
- Early Warning Indicators (EWIs).
-

(d) Stress Testing

SAB's liquidity stress testing methodology considers material risks arising from its balance sheet activities. The scenarios have been developed considering the practicalities of the Bank's business strategy and balance sheet activities under different scenarios to assess the overall adequacy of the level of SAB's liquidity and funding resources as outlined below:

- An idiosyncratic liquidity stress test;
- A market-wide liquidity stress test;
- A combined scenario which envisages the impact of both idiosyncratic and market wide stress.

The purpose of the Bank's stress testing is to evaluate its financial position under a range of severe but plausible scenarios to assess the ability of the Bank to withstand the stress and continue the business without any disruptions. SAB conducts regular stress testing assessment as one of the key components of its effective liquidity risk management practices. The objective of the stress test is to ensure that SAB has adequate liquidity to meet all its obligations and commitments under both Business-as-usual and stressed conditions.

(e) Bank's Contingency Funding Plan

SAB maintains a comprehensive Contingency Funding Plan (CFP) based on the HSBC and regulatory standards, which identifies early indicators of stress conditions and describes actions to be taken in the event of difficulties arising from systematic or other crises, while minimizing adverse short and long-term implications for business units within the bank to continue their operations. The CFP addresses funding needs, provides guidance during any liquidity event and defines responsibilities of selected senior management.

The CFP outlines the key management action plans that the SAB shall undertake in the event of the stress. The results of the CFP are presented to the senior management and included in the Bank's annual Internal Liquidity Adequacy Assessment Plan (ILAAP).

Liquidity measurement tools or metrics

SAB measures the key liquidity and funding ratios (NSFR, LCR, SLR and LDR), assessed under the baseline scenarios and the stress scenarios. Additionally, the Bank monitors the Top deposit concentration limits, Intraday liquidity limits, Concentration risk limits and the asset encumbrance limits.

The objective of the LCR is to limit the risks of severe cash outflows owing to an over-reliance on volatile funding sources and certain lending commitments. Under the LCR requirements, SAB is required to hold a minimum level of unencumbered high-quality liquid assets (HQLA) to withstand an acute stress scenario lasting 30 days. The LCR is specifically designed to improve the short-term resilience of SAB against liquidity shocks. By contrast, the NSFR is designed to limit the risks emanating from excessive maturity mismatches over the medium to long term. More specifically, the NSFR requires SAB to fund illiquid assets with a minimum amount of stable liabilities over a horizon of one year.

Concentration Limits and Sources of Funding

SAB monitors the concentration of its funding by products, tenors, counterparties and currencies to ensure that the Bank is not overly dependent on a particular category or sources of funding which becomes unavailable during stress times. The ALCO is responsible for ensuring compliance with all the risk limits set by the Board in relation to asset liability and capital management, and to manage the overall balance sheet, capital, liquidity and funding.

Liquidity Exposures and funding needs at the level of individual legal entities, foreign branches and subsidiaries

SAB does not have any subsidiary or entity outside the Kingdom. SAB Invest (SABI) is the only subsidiary and SAB assigns the liquidity buffer for SABI as a part of the Pillar II buffer assessment.

Balance Sheet Maturity Buckets and Liquidity Gaps

SAB monitors the liquidity gaps at various tenors under normal conditions for the last 12 months. The Bank bridges its liquidity gap by maintaining sufficient level of liquidity resources as part of its business-as-usual activities. The maturity gap includes cash flows of assets, liabilities and off-balance sheet activities allocated into different time buckets.

The Bank has an internal Liquidity and Funding Risk Framework, using the external Liquidity Coverage Ratio (LCR) and Net Stable Funding Requirement (NSFR) SAMA regulatory framework as a foundation.

The 3-month average of the LCR decreased marginally to 141.93% as of 31st December 2025 from 142.53% as at 30th September 2025. The movement is primarily driven by a reduction in HQLA coupled with higher net cash outflows over the period.

The NSFR increased marginally to 117.69% as at 31st December 2025 compared to 117.47% as at 30th September 2025 due to the increase in Available Stable Funding (Customer Deposits and Regulatory Capital) which was partially offset due to an increase in Required Stable Funding (Performing Loans).

The LCR and NSFR remain comfortably above regulatory minimum requirements and within the Bank's internal risk appetite.

ENC: Asset encumbrance (Figures in SAR 000's)

		a	b	c
		Encumbered Assets	Unencumbered Assets	Total
1	The assets on the balance sheet would be disaggregated; there can be as much disaggregation as desired	5,885,971	90,349,213	96,235,184

The main driver in the drop in the encumbered asset is the drop in the repo activities.

(f) Additional Quantitate Disclosure:

	Within 3 months	3-12 months	1-5 years	Over 5 years	Non special commission bearing	Total
Total assets	206,465,475	47,292,160	62,137,114	94,788,854	28,565,312	439,248,915
Total liabilities	190,581,513	19,391,444	2,373,182	4,405,608	158,364,198	375,115,945
Balance Sheet Gap	15,883,962	27,900,716	59,763,932	90,383,246	(129,798,886)	64,132,970
Total commitments and contingencies	47,290,996	72,114,004	41,909,784	46,157,774		207,472,558

LIQ1: Liquidity Coverage Ratio (LCR) (Figures in SAR 000's)

		a	b
		Total unweighted value (average)	Total weighted value (average)
High quality liquid assets			
1	Total HQLA	131,233,553	110,259,304
Cash outflows			
2	Retail deposits and deposits from small business customers, of which:	87,796,286	6,763,910
3	Stable deposits	-	-
4	Less stable deposits	87,796,286	6,763,910
5	Unsecured wholesale funding, of which:	193,229,514	79,759,440
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	-	-
7	Non-operational deposits (all counterparties)	193,229,514	79,759,440
8	Unsecured debt	-	-
9	Secured wholesale funding	-	-
10	Additional requirements, of which:	27,221,761	3,241,734
11	Outflows related to derivative exposures and other collateral requirements	577,286	577,286
12	Outflows related to loss of funding on debt products	-	-
13	Credit and liquidity facilities	26,644,475	2,664,448
14	Other contractual funding obligations	-	-
15	Other contingent funding obligation	308,910,748	7,666,976
16	TOTAL CASH OUTFLOWS		97,432,060
Cash inflows			
17	Secured lending (eg reverse repos)	-	-
18	Inflows from fully performing exposures	29,263,790	19,169,622
19	Other cash inflows	575,449	575,449
20	TOTAL CASH INFLOWS		19,745,071
			Total adjusted value
21	Total HQLA		110,259,304
22	Total net cash outflows		77,686,989
23	Liquidity Coverage Ratio (%)		141.93%

LIQ2: Net Stable Funding Ratio (NSFR) (Figures in SAR 000's)

		a	b	c	d	e
		Unweighted value by residual maturity				Weighted value
		No maturity	<6 months	6 months to < 1 year	≥ 1 year	
Available stable funding (ASF) item						
1	Capital:	67,959,590	-	-	17,074,000	85,033,590
2	Regulatory capital	67,959,590	-	-	-	67,959,590
3	Other capital instruments	-	-	-	17,074,000	17,074,000
4	Retail deposits and deposits from small business customers, of which:	61,792,685	33,800,444	1,253,361	372,886	87,534,726
5	Stable deposits	-	-	-	-	-
6	Less stable deposits	61,792,685	33,800,444	1,253,361	372,886	87,534,726
7	Wholesale funding:	85,042,246	135,372,022	4,727,890	912,321	122,330,438
8	Operational deposits	-	-	-	-	-
9	Other wholesale funding	85,042,246	135,372,022	4,727,890	912,321	122,330,438
10	Liabilities with matching interdependent assets	-	-	-	-	-
11	Other liabilities	18,245,577	-	-	-	-
12	NSFR derivative liabilities	-	-	-	-	-
13	All other liabilities and equity not included in the above categories	18,245,577	-	-	-	-
14	Total ASF					294,898,754
Required stable funding (RSF) item						
15	Total NSFR high-quality liquid assets (HQLA)	-	1,778,999	1,022,184	99,447,500	10,832,281
16	Deposits held at other financial institutions for operational purposes	-	-	-	-	-
17	Performing loans and securities:	13,367,073	77,294,773	38,771,017	182,375,545	216,612,609
18	Performing loans to financial institutions secured by Level 1 HQLA	-	-	-	-	-
19	Performing loans to financial institutions secured by non-Level 1 HQLA and unsecured performing loans to financial institu	-	7,389,181	-	-	431,727
20	Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs, of which:	12,967,566	69,826,129	38,771,017	177,061,793	211,284,880
21	With a risk weight of less than or equal to 35% under the Basel II standardised approach for credit risk	-	-	-	-	-
22	Performing residential mortgages, of which:	-	-	-	-	-
23	With a risk weight of less than or equal to 35% under the Basel II standardised approach for credit risk	-	-	-	-	-
24	Securities that are not in default and do not qualify as HQLA, including exchange-traded equities	399,507	79,463	-	5,313,752	4,896,002
25	Assets with matching interdependent liabilities	-	-	-	-	-
26	Other assets:	18,662,568	-	-	2,405,729	21,068,297
27	Physical traded commodities, including gold					
28	Assets posted as initial margin for derivative contracts and contributions to default funds of central counterparties		-	-	-	-
29	NSFR derivative assets		-	-	2,405,729	2,405,729
30	NSFR derivative liabilities before deduction of variation margin posted		-	-	-	-
31	All other assets not included in the above categories	18,662,568	-	-	-	18,662,568
32	Off-balance sheet items				327,872,573	2,069,402
33	Total RSF					250,582,589
34	Net Stable Funding Ratio (%)					117.69%

CRA: General qualitative information about credit risk

(a) How the business model translates into the components of the bank's credit risk profile

Credit risk represents our largest regulatory capital requirement.

The principal objectives of our credit risk management function are:

- to maintain a strong culture of responsible lending and a robust credit risk policy and control framework;
- to both partner and challenge our businesses in defining, implementing and continually re-evaluating our credit risk appetite under actual and stress scenario conditions; and
- to ensure there is independent, expert scrutiny of credit risks, their costs and their mitigation.

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. Credit exposures arise principally in lending activities that arise from loans and advances, and investment activities. There is also credit risk on credit related commitments, contingencies and derivatives.

The Wholesale Credit Risk, Retail Credit Risk, Special Assets Management, along with Credit Risk Business Management are the constituent parts of the bank's Credit Risk function that supports the Chief Risk Officer's oversight for credit risks. Their major duties comprise undertaking independent reviews of large and high-risk credit proposals, managing retail credit risk, overseeing large exposure policy, owning our credit policy and credit systems programmes, overseeing portfolio management and reporting on risk matters to senior executive management and to regulators. These credit risk areas work closely with other parts of the Risk function; for example, with Operational Risk on the internal control framework and with risk business Management on the risk appetite process. In addition, they work jointly with Enterprise Risk Management and the Finance function on stress testing.

SAB is a diversified financial services institution operating in Saudi Arabia, with a range of business activities and income streams. SAB offers a wide range of credit products through three core business segments; Corporate and Institutional Banking (CIB) and Wealth and Personal Banking (WPB).

Corporate and Institutional Banking caters to the banking requirements of commercial banking customers, top-end Saudi companies that are globally active; multinational companies operating in Saudi Arabia but headquartered overseas; and institutional clients such as ministries, government agencies and departments, banks and other financial institutions. This includes the provision of credit facilities, trade and receivables finance, guarantees and other credit products.

Wealth and Personal Banking cater to the banking requirements of personal and private banking customers including current accounts, personal finance, home finance and credit cards.

(b) Criteria and approach used for defining credit risk management policy and for setting credit risk limits

SAB has established clear standards to be met by the employees, for application across the Bank. This includes a set of Board Risk Committee approved risk appetite statements that reflect the bank's appetite for credit risk across different segments, sectors, products and borrower types.

Credit manuals provide clear and consistent lending guidelines, policies, and procedures to manage the corporate and personal banking asset portfolios. These policy manuals are reviewed annually by the designated Credit Risk Management function and approved by the Board Risk Committee In-line with SAMA Rules on Credit Risk Management.

The Bank manages credit risk by monitoring credit exposures, limiting transactions with specific counterparties, and continually assessing the creditworthiness of counterparties. The Bank's risk management policies are designed to identify and to set appropriate risk limits and to monitor the risks and adherence to limits.

SAB assesses the probability of default of counterparties using internal rating tools. Also, the Bank uses external ratings, of major rating agencies, where available.

The Bank also seeks to manage its credit risk exposure through diversification of lending activities to ensure that there is no undue concentration of risks with individuals or groups of customers in specific locations or businesses. Authority to carry out various activities and responsibilities for financial performance are delegated to SAB management within limits set by the Board.

The approval process is reviewed annually by the Board Risk Committee with limit delegations cascaded down from the Board. Within SAB, emphasis is placed on the individual's responsibility for making credit decisions and as such there is a series of delegated approval limits agreed by the Board.

Personal finance credit decisions are based on credit scoring models and decision strategies, developed using internal data and credit bureau information from SIMAH; with behavioural scoring applied to support credit card processing, authorisation, collections and limit review decisions.

Credit Risk identification and monitoring systems and procedures are in place in SAB to identify, control and report on any emerging risks.

(c) Structure and organisation of the credit risk management and control function

The Board of Directors is responsible for the overall risk management approach within SAB and for reviewing its effectiveness. The Board's designated committee for risk matters is the Board Risk Committee which approves and provides oversight and guidance for the Bank's risk framework, plans and performance targets, which include the establishment of risk appetite statements, risk management strategies, the appointment of senior officers, the sector limits and for establishment of effective control procedures.

The Bank has established a number of risk committees from the Board level to the middle management level in order to ensure that all risks to which the Bank is exposed are managed effectively.

SAB operates independent credit risk management function which provides a high-level oversight and management of Credit risk. The credit teams are responsible for credit review, credit approval decisions, as well as key aspects of the risk rating systems, including selection, implementation, performance, and oversight.

A dedicated special assets and recoveries team reporting to the Chief Risk Officer manages companies which are in financial distress and non-performing. For personal banking there is a dedicated collections function undertaking debt counselling and recovery activities at each stage of delinquency including the use of external and overseas recovery agencies.

In SAB the administration of credit facilities is performed by an independent Corporate Credit Operations function. This function is responsible for ensuring completeness of documentation in accordance with approved terms and conditions, along with undertaking the management and control of facilities.

(d) Relationships between the credit risk management, risk control, compliance and internal audit functions

The Board is also responsible for internal control in SAB and for reviewing its effectiveness. The framework of standards, policies and key procedures that the Directors have established is designed to provide effective segregation of duties and internal control within SAB for managing risks within the accepted risk appetite along with the on-going identification, evaluation and management of the significant risks faced by the Bank.

SAB's management is responsible for establishing and maintaining an adequate and effective system of internal control which encompasses the policies, procedures/ processes and information systems as approved by the Board, that facilitate effective and efficient operations. The bank has implemented a 'Three Lines of Defence' model for managing risks facing the Bank. Business, as the First Line of Defence, is responsible for defining operating procedures and standards across all areas under their responsibility. Specific business manuals are established by functions covering all material risks including credit, market, liquidity, information security, capital, compliance, model, reputational, strategic and other operational risks. Business management is also responsible for implementing effective monitoring mechanisms to identify, assess, measure, manage, monitor and mitigate operational risks and prevent deviations or breaches from established policies and regulatory requirements.

The Second Line of Defence comprises various risk management functions which maintain oversight of risks including credit, market, legal, compliance, information technology and reputational risks as well as various operational risks relating to business continuity, security and fraud. These functions act as the risk stewards, who set policies and guidelines for managing risks, provide advice to support these policies and test effectiveness of the first line processes in adherence to the policies. They also challenge the First Line of Defence to ensure that its risk management activities are working effectively. The second Line of Defence operates independently of the operational management in the First Line of Defence.

The Credit function undertakes credit reviews to ensure that the facilities are in line with the Bank's credit policy & procedures, SAMA guidelines and are appropriately structured to ensure the end use of funds. They also monitor the financial performance & condition, approval conditions wherever applicable and past dues to identify early warning signs.

As part of the second line, the Compliance function conducts the oversight of business operations and necessary management action to ensure conformity with regulatory requirements, particularly the Rules for Opening of Bank Accounts, Anti-Money Laundering and Terrorism Finance Fighting Rules, CMA Rules and Regulations, and other key international regulatory requirements.

Internal Audit (INA) represents the Third Line of Defence and independently reviews the design effectiveness and operating efficiency of internal control systems and policies focusing on the areas of significant risks to the Bank as determined by a risk-based grading approach. The Audit Committee supervises Internal Audit and reviews control weaknesses and system deficiencies.

(e) Scope and main content of the reporting on credit risk exposure and on the credit risk management function to the executive management and to the board of directors

Systems and procedures are in place to identify, control and report on the material risk issues facing SAB. The top-level governance committee reports encompass the Risk Appetite Statements, Risk Heat map and Top and Emerging Risks, market risk positions, stress testing, and specific reports for sectors or segments. Exposures to current and emerging risks are monitored through the various risk management committees, and the Assets and Liabilities Committee (ALCO).

More granular reports for monitoring and control purposes are provided on periodic basis - monthly, quarterly- to Senior Management. The reports cover a range of material risk issues and trends including, risk exceptions, watch lists, portfolio quality, and concentration risk in terms of industries, countries and individual counterparties.

CR1: Credit quality of assets (Figures in SAR 000's)

	a	b	c	d	e	f	g
	Gross carrying values of		Allowances/ impairments	Of which ECL accounting provisions for credit losses on SA exposures		Of which ECL accounting provisions for credit losses on IRB exposures	Net values (a+b-c)
	Defaulted exposures	Nondefaulted exposures		Allocated in regulatory category of Specific	Allocated in regulatory category of General		
1 Loans	7,735,205	298,094,429	7,203,129	3,597,030	3,606,095	-	298,626,505
2 Debt Securities	-	107,664,419	22,521	-	22,521	-	107,641,898
3 Off-balance sheet exposures	3,979,142	204,588,079	1,094,663	214,213	880,450	-	207,472,558
4 Total	11,714,347	610,346,927	8,320,313	3,811,242	4,509,066	-	613,740,961

CR2: Changes in stock of defaulted loans and debt securities (Figures in SAR 000's)

	a
1 Defaulted loans and debt securities at end of the previous reporting period	7,335,207
2 Loans and debt securities that have defaulted since the last reporting period	1,289,658
3 Returned to non-defaulted status	-
4 Amounts written off	(453,009)
5 Other changes	(436,651)
6 Defaulted loans and debt securities at end of the reporting period (1+2-3-4+5)	7,735,205

CRB: Additional disclosure related to the credit quality of assets

(a) The scope and definitions of “past due” and “impaired” exposures used for accounting purposes and the differences, if any, between the definition of past due and default for accounting and regulatory purposes

The scope and definition of past due is when customer fails to meet his payment obligations on time and the amount due is classified as past due. The number of days remains past due is counted and termed as the past due period. While an impaired exposure is considered by the bank as a credit obligation that the customer is unlikely to repay without recourse by the bank to actions such as realizing security (if held).

(b) The extent of past-due exposures (more than 90 days) that are not considered to be impaired and the reasons for this

The 90 days past due trigger for classification of credit impaired is a rebuttable presumption in accordance with the IFRS 9 accounting standards. Where the Bank has reasonable and supportable information demonstrating that even if contractual payments are 90 days or more past due, this does not represent impairment, the presumption is proposed to be rebutted. These cases are proposed by the business and reviewed by the credit unit before being presented to the IFRS 9 governance committee for approval and ongoing tracking of any approved rebuttals. The committee is chaired by the Chief Risk Officer with representation from business, risk and finance.

(c) Description of methods used for determining impairments

The Bank has adopted IFRS9 – Financial Instruments from 1 January 2018. IFRS 9 replaces the ‘incurred loss’ model in IAS 39 with an ‘expected credit loss’ model (ECL). IFRS9 requires the Bank to record an allowance for ECLs for all loans and other debt financial assets not held at Fair Value Through Profit and Loss, together with loan commitments and financial guarantee contracts. The allowance is based on the ECLs associated with the probability of default in the next twelve months unless there has been a significant increase in credit risk since origination, in which case, the allowance is based on the probability of default over the life of the asset. If the financial asset meets the definition of purchased or originated credit impaired (POCI), the allowance is based on the change in the ECLs over the life of the asset. If the financial asset meets the corporate default definition, the allowance is based on the ECLs associated with the Discounted Cash Flow (DCF) methodology.

Definition of Default:

The Bank considers a financial asset to be in default when:

- A quantitative objective based indicator where the obligor’s contractual repayments are past due in excess-over-limits or has overdrawn advised agreed limits for more than 90 days on any material credit obligation to the Bank.
- A qualitative criterion by which the Bank considers that the obligor is ‘unlikely-to-pay’ its obligations to the Bank in full without recourse by the Bank to action such as realising securities (if any).

Some of the primary indicators for qualitative criteria to objectively define 'Unlikelihood to Pay' (UTP) events' could be the following:

- Distressed debt restructuring resulting in diminished financial obligation
- Significant and/or persistent deteriorations in financial performance, financial ratios, covenants waivers/easing, cash flow and liquidity concerns and future outlook of the obligor
- Imminent probability of facility foreclosure and/or repossession of collaterals / securities due to insolvency or other financial difficulties indicating Bank's inability to recover the exposure.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

The definition of default largely aligns with that applied by the Bank for regulatory capital purposes.

(d) The bank's own definition of a restructured exposure. Banks should disclose the definition of restructured exposures they use (which may be a definition from the local accounting or regulatory framework)

Forbearance or restructuring occurs when the borrower is experiencing financial difficulty in meeting the financial commitments specified under the initial credit contract; and the bank grants a concession that it would not otherwise consider whether or not the concession is at the discretion of the bank and/or the counterparty. Forbearance is identified at the individual exposure level to which concessions are granted due to financial difficulty of the counterparty.

(e) Breakdown of exposures by geographical areas, industry and residual maturity

Please refer to CRB (e) Geo and CRB (e) Industry Sec: tables below:

CRB (e) Geo : Geographic Breakdown (Figures in SAR 000's)

Portfolios	Geographic area						Total
	Saudi Arabia	Other GCC & Middle East	Europe	North America	South East Asia	Others Countries	
Sovereigns and their central banks	115,711,982	56,304	5,383	8,313,135	-	189,272	124,276,076
Non-central government public sector entities	2,690,741	-	-	-	-	-	2,690,741
Multilateral development banks	750,000	-	-	-	-	-	750,000
Banks	3,947,400	5,251,705	4,559,098	1,013,208	33,986	16,034,674	30,840,071
Of which: securities firms and other financial institutions	3,947,400	5,251,705	4,559,098	1,013,208	33,986	16,034,674	30,840,071
Covered bonds	-	-	-	-	-	-	-
Corporates	252,880,446	1,942,556	925,042	305,625	63,047	10,221,074	266,337,791
Of which: securities firms and other financial institutions	3,211,382	152,064	-	-	-	602,845	3,966,290
Of which: specialised lending	18,795,685	-	-	-	-	-	18,795,685
Subordinated debt, equity and other capital	2,052,745	-	8,299	-	-	-	2,061,044
Retail	28,399,138	148,665	73,295	522,471	6,273	1,187,531	30,337,373
MSMEs	-	-	-	-	-	-	-
Real estate	68,298,563	3,652	4,510	1,348	743	5,440	68,314,255
Of which: general RRE	42,117,437	3,652	4,510	1,348	743	5,440	42,133,130
Of which: IPRRE	-	-	-	-	-	-	-
Of which: general CRE	14,011,997	-	-	-	-	-	14,011,997
Of which: IPCRE	1,711,250	-	-	-	-	-	1,711,250
Of which: land acquisition, development and construction	10,457,879	-	-	-	-	-	10,457,879
Defaulted exposures	4,979,646	79	-	0	14	6	4,979,746
Other assets	3,856,506	-	-	-	-	-	3,856,506
Total	483,567,167	7,402,961	5,575,627	10,155,788	104,063	27,637,997	534,443,602

CRB (e) Industry Sec: Industry Sector Breakdown (Figures in SAR 000's)

Portfolios	Industry sector												Total
	Government and quasi government	Banks and other financial institutions	Agriculture and fishing	Manufacturing	Mining and quarrying	Electricity, water, gas and health services	Building and construction	Commerce	Transportation and communication	Services	Consumer loans and credit cards	Others	
Sovereigns and their central banks	-	-	-	-	-	-	-	-	-	-	-	124,276,076	124,276,076
Non-central government public sector entities	-	-	-	-	-	89,384	-	-	-	-	-	2,601,357	2,690,741
Multilateral development banks	-	-	-	-	-	-	-	-	-	-	-	750,000	750,000
Banks	-	-	-	-	-	-	-	-	-	-	-	30,840,071	30,840,071
Of which: securities firms and other financial institutions	-	-	-	-	-	-	-	-	-	-	-	30,840,071	30,840,071
Covered bonds	-	-	-	-	-	-	-	-	-	-	-	-	-
Corporates	-	-	1,589,839	34,961,147	-	28,767,296	61,976,452	58,812,764	18,233,104	18,158,430	-	43,838,760	266,337,791
Of which: securities firms and other financial institutions	-	-	25,331	516,697	-	355,935	909,952	933,019	280,679	285,702	-	658,976	3,966,290
Of which: specialised lending	-	-	-	2,734,574	-	6,943,258	5,255,044	273,563	666,230	244,991	-	2,678,026	18,795,685
Subordinated debt, equity and other capital	-	-	-	-	-	-	-	-	-	-	-	2,061,044	2,061,044
Retail	-	-	59	43,065	-	358	18,735	65,303	971	2,379	-	30,206,503	30,337,373
MSMEs	-	-	-	-	-	-	-	-	-	-	-	-	-
Real estate	-	-	-	80,222	-	4,214,715	2,366,790	12,900,702	-	670,669	-	48,081,156	68,314,255
Of which: general RRE	-	-	-	-	-	-	-	-	-	-	-	42,133,130	42,133,130
Of which: IPRRE	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which: general CRE	-	-	-	-	-	7,043,603	2,850,083	4,114,893	-	-	-	3,419	14,011,997
Of which: IPCRE	-	-	-	-	-	-	-	-	-	-	-	-	-
Of which: land acquisition, development and construction	-	-	-	70,588	-	-	581,942	9,184,807	-	590,122	-	30,420	10,457,879
Defaulted exposures	-	-	194	748,726	-	135	1,803,449	1,674,572	104,305	57,624	-	590,741	4,979,746
Other assets	-	-	29	1,202	-	394	4,073	1,330	982	5,239	-	3,843,257	3,856,506
Total	-	-	1,590,121	35,834,362	-	33,072,282	66,169,499	73,454,671	18,339,362	18,894,341	-	287,088,965	534,443,602

CRB (e) Mat : Residual Contractual Maturity Breakdown (Figures in SAR 000's)

Portfolios	Maturity breakdown								Total
	Less than 8 days	8-30 days	30-90 days	90-180 days	180-360 days	1-3 years	3-5 years	Over 5 years *	
Sovereigns and their central banks	4,589,372	5,726	1,132,245	662,704	982,150	22,617,279	31,420,941	62,865,660	124,276,076
Non-central government public sector entities	2,348	1,869	16,648	43,163	48,714	4,175	981,760	1,592,063	2,690,741
Multilateral development banks	-	-	300,000	-	450,000	-	-	-	750,000
Banks	2,127,854	710,005	2,810,240	3,638,698	5,067,830	6,992,629	3,479,671	6,013,144	30,840,071
Of which: securities firms and other financial institutions	2,127,854	710,005	2,810,240	3,638,698	5,067,830	6,992,629	3,479,671	6,013,144	30,840,071
Covered bonds	-	-	-	-	-	-	-	-	-
Corporates	5,953,022	15,450,070	22,298,294	31,027,696	51,966,415	37,763,623	39,850,919	62,027,752	266,337,791
Of which: securities firms and other financial institutions	82,212	237,655	354,743	488,420	795,141	585,758	596,419	825,944	3,966,290
Of which: specialised lending	856,743	576,898	36,101	402,699	2,225,963	1,079,598	2,611,583	11,006,101	18,795,685
Subordinated debt, equity and other capital	184,464	-	-	-	-	1,876,580	-	-	2,061,044
Retail	2,560,799	2,303,011	587,250	593,571	1,130,584	5,377,210	16,491,069	1,293,880	30,337,373
MSMEs	-	-	-	-	-	-	-	-	-
Real estate	47,249,619	28,185	29,088	148,540	3,759,562	1,522,320	4,539,293	11,037,648	68,314,255
Of which: general RRE	41,411,434	-	-	-	-	-	5,274	716,422	42,133,130
Of which: IPRRE	-	-	-	-	-	-	-	-	-
Of which: general CRE	30,389	-	30,389	628	-	15,472	2,718,005	11,217,116	14,011,997
Of which: IPCRE	-	-	-	-	-	-	-	-	-
Of which: land acquisition, development and construction	8,667	24,800	9,595	130,371	3,308,042	1,331,345	2,557,779	3,087,281	10,457,879
Defaulted exposures	365,736	136,273	110,503	267,049	287,735	2,877,347	457,928	477,175	4,979,746
Other assets	15,997	246	360,400	1,123	163,827	2,151,276	2,699	1,160,938	3,856,506
Total	63,049,209	18,635,384	27,644,668	36,382,545	63,856,816	81,182,440	97,224,281	146,468,259	534,443,602

(f) Amounts of impaired exposures (according to the definition used by the bank for accounting purposes) and related accounting provisions, broken down by geographical areas and industry.

CRB (f): Impaired exposures, Allowances and Write-offs by industry (Figures in SAR 000's)

Industry sector	Impaired exposures	Allowances	Write-offs
Government and quasi government	-	630	-
Banks and other financial institutions	12,819	83,343	-
Agriculture and fishing	241	5,202	-
Manufacturing	1,212,955	731,693	32,466
Mining and quarrying	34	213,255	-
Electricity, water, gas and health services	392,354	246,953	-
Building and construction	2,309,620	1,232,306	239,615
Commerce	2,783,701	2,782,284	182,723
Transportation and communication	4,894	447,058	-
Services	252,548	282,105	3,593
Consumer loans and credit cards	578,468	1,125,933	-
Others	187,571	52,367	-
Total	7,735,205	7,203,129	458,397

CRB (f): Impaired exposures, Allowances and Write-offs by Geographic (Figures in SAR 000's)

Geographic area	Impaired Exposures	Allowances	Write-offs
Saudi Arabia	7,735,205	(7,203,129)	458,397
Other GCC & Middle East	-	-	-
Europe	-	-	-
North America	-	-	-
South East Asia	-	-	-
Others countries	-	-	-
Total	7,735,205	(7,203,129)	458,397

(g) Ageing analysis of accounting past-due exposures.

Please refer to the table below:

CRB (g): Ageing analysis of accounting past-due exposures (Figures in SAR 000's)

Bucket	Total	Previous Year	Difference
Less than 90 Days	1,939,644	894,022	(1,045,622)
From 90 to 180 Days	1,182,413	653,580	(528,833)
From 180 days to 360 days	1,333,964	708,903	(625,060)
Over 360 Days	1,401,483	2,130,251	728,768
Total	5,857,503	4,386,756	(1,470,747)

(h) Breakdown of restructured exposures between impaired and not impaired exposures.

Please refer to the table below:

CRB (h): Breakdown of restructured exposures between impaired and not impaired exposure

Breakdown of restructured exposures between impaired and not impaired exposures (SAR '000)		
Restructured Exposure	Impaired	Not Impaired
10,304,210	2,509,356	7,794,854

CRC: Qualitative disclosure requirements related to credit risk mitigation techniques

(a) Core features of policies and processes for, and an indication of the extent to which the bank makes use of, on- and off-balance sheet netting

SAB uses netting for computation of counterparty credit risk of regulatory stipulated margining counterparties. In all other cases the bank does not use on- and off-balance sheet netting for capital adequacy reporting. The bank uses deposit / cash as collateral.

(b) Core features of policies and processes for collateral evaluation and management

The Bank in the ordinary course of lending activities holds collaterals as security to mitigate credit risk in the loans and advances. These collaterals mostly include time and demand and other cash deposits, financial guarantees, local equities, real estate and other fixed assets.

Management monitors the market value of collateral and requests additional collateral in accordance with the underlying agreements. It also monitors the market value of collateral obtained during its review of the adequacy of the provision for credit losses.

The bank's approach when granting credit facilities is to evaluate each proposal on its own merits, rather than on availability of collateral. Where credit risk mitigation is available in the form of eligible non-financial collateral or credit derivatives, the exposure is divided into covered and uncovered portions. The covered portion, which is determined after applying the appropriate "haircut". The value of exposure is adjusted under the financial collateral comprehensive methods.

When valuations are obtained from Banks' approved evaluators, the lowest value is taken thereafter for the purpose of collateral / LTV computation. Fresh valuations are obtained for properties with more frequency in cases where there are difficulties and hence reliance on the security is increased high. For residential mortgages the bank monitors changes if property values through use of the SIMAH House Price Index. Where the bank accepts fixed assets e.g. property as collateral and where applicable are adequately insured with the bank as loss payee. If corporate guarantees are accepted the underlying net worth of the guarantor is re-assessed at each annual review.

All securities are held under the custody of an independent credit administration function.

(c) Information about market or credit risk concentrations under the credit risk mitigation instruments used (i.e. by guarantor type, collateral and credit derivative providers)

The bank endeavors to take an appropriate level of security to secure our advances. All borrowing relationships need to identify a secondary source of repayment. The nature of collateral types available to the bank is limited and these collaterals mostly include time, demand and other cash deposits, financial guarantees, equities, real estate and other fixed assets. The security margin is computed accordingly keeping in view the type of collateral held.

CR3: Credit risk mitigation techniques - overview (Figures in SAR 000's)

	a	b	c	d	e
	Exposures unsecured: carrying amount	Exposures to be secured	Exposures secured by collateral	Exposures secured by financial guarantees	Exposures secured by credit derivatives
1 Loans	298,626,505	26,391,119	26,391,119	-	-
2 Debt securities	107,641,898	-	-	-	-
3 Total	406,268,403	26,391,119	26,391,119	-	-
4 <i>Of which defaulted</i>	7,735,205	44,979	44,979	-	-

CRD: Qualitative disclosures on banks' use of external credit ratings under the standardised approach for credit risk

(a) Names of the external credit assessment institutions (ECAIs) and export credit agencies (ECAs) used by the bank, and the reasons for any changes over the reporting period

SAB has nominated three SAMA recognized External Credit Assessment Institutions (ECAIs) for this purpose – Moody's Investors Service, Standard and Poor's Ratings Group and the Fitch Group. We have not nominated any ECAs. There are no changes over the reporting period.

When calculating the risk-weighted value of an exposure using ECAI risk assessments, risk systems identify the customer in question and look up the available ratings in the central database according to the rating selection rules. The systems then apply the prescribed credit quality step mapping to derive from the rating the relevant risk weight.

(b) The asset classes for which each ECAI or ECA is used

In accordance with the guidelines issued by SAMA, ECAI risk assessments are used by the Bank as part of the determination of risk weightings for the following classes of exposure:

- Claims on sovereigns and their central banks;
- Claims on Multilateral Development Banks;
- Claims on Banks and Securities Firms; and
- Claims on corporates.

Ratings of all exposures are individually determined from the ECAIs and mapped to the exposures assigning a risk weight according to the supervisory tables.

(c) Description of the process used to transfer the issuer to issue credit ratings onto comparable assets in the Banking book:

The credit rating is based on the issue-specific (security) which is assessed by using the second ratings of the three agencies (S&P, Moody's and Fitch).

(d) The alignment of the alphanumerical scale of each agency used with risk buckets:

The alignment of alphanumeric scales of each agency to risk buckets is as follows:

Moody's	Standard and Poor's	Fitch
Aaa	AAA	AAA
Aa1	AA+	AA+
Aa2	AA	AA
Aa3	AA-	AA-
A1	A+	A+
A2	A	A
A3	A-	A-
Baa1	BBB+	BBB+
Baa2	BBB	BBB
Baa3	BBB-	BBB-
Ba1	BB+	BB+
Ba2	BB	BB
Ba3	BB-	BB-
B1	B+	B+
B2	B	B
B3	B-	B-
Caa1	CCC+	CCC+
Caa2	CCC	CCC
Caa3	CCC-	CCC-
Ca	CC	CC
C	C	C
WR	D	D
	NR	NR

(e) The sequence in which CCFs, provisioning and credit risk mitigation are applied in CR4 and CR5 templates

Off balance sheet items (b) are scaled using CCFs. Then the CRM is applied on the total on and off-balance sheet items

CR4: Standardised approach – credit risk exposure and credit risk mitigation (CRM) effects (Figures in SAR 000's)

Asset Classes	a	b	c	d	e	f
	Exposures before CCF and CRM		Exposures post-CCF and post- CRM		RWA and RWA Density	
	On-balance sheet amount	Off-balance sheet amount	On-balance sheet amount	Off-balance sheet amount	RWA	RWA Density
1 Sovereigns and their central banks	124,024,692	2,394,375	124,024,692	251,383	1,663,780	1%
2 Non-central government public sector entities	1,870,741	2,540,000	1,870,741	820,000	1,345,370	50%
3 Multilateral development banks	750,000	-	750,000	-	-	0%
4 Banks	19,903,217	50,630,385	11,742,516	19,097,554	14,557,992	47%
Of which: securities firms and other financial institutions	-	-	-	-	-	0%
5 Covered bonds	-	-	-	-	-	0%
6 Corporates	187,939,566	281,230,615	171,426,938	94,910,844	251,998,308	95%
Of which: securities firms and other financial institutions	3,363,446	3,252,914	3,363,446	602,845	2,867,606	72%
Of which: specialised lending	18,526,544	538,282	18,526,544	269,141	20,519,929	109%
7 Subordinated debt, equity and other capital	2,061,044	-	2,061,044	-	5,378,148	261%
8 Retail	30,521,071	12,743,512	28,841,892	1,495,481	23,049,126	76%
MSMEs	-	-	-	-	-	0%
9 Real estate	67,159,596	4,022,334	67,120,977	1,193,288	46,833,131	69%
Of which: general RR	33,647,326	695,120	33,647,326	278,048	11,193,951	33%
Of which: IPRRE	-	-	-	-	-	0%
Of which: general CRE	5,649,938	43,304	5,649,938	16,330	4,047,271	71%
Of which: IPCR	1,695,250	40,000	1,695,250	16,000	1,403,534	82%
Of which: land acquisition, development and construction	26,167,082	3,243,910	26,128,463	882,910	30,188,374	112%
10 Defaulted exposures	4,129,111	3,752,500	4,129,111	850,636	6,104,786	123%
11 Other assets	3,856,506	-	3,856,506	-	4,257,030	110%
12 Total	442,215,544	357,313,721	415,824,416	118,619,187	355,187,671	66%

CR5: Standardised approach - exposures by asset classes and risk weights (Figures in SAR 000's)

	0%	20%	30%	40%	45%	50%	60%	70%	75%	80%	85%	90%	100%	110%	130%	150%	250%	1250%	Other	Total credit exposure amount (post-CCF and post-CRM)
1 Sovereigns and their central banks	118,576,528	5,041,344	-	-	-	5,383	-	-	-	-	-	-	692,820	-	-	-	-	-	-	124,276,075
2 Non-central government public sector entities	-	-	-	-	-	2,690,741	-	-	-	-	-	-	-	-	-	-	-	-	-	2,690,741
3 Multilateral development banks	750,000	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	750,000
4 Banks	-	2,814,193	19,577,430	124,487	-	1,655,681	-	-	-	-	-	-	5,516,259	-	-	1,152,020	-	-	-	30,940,070
Of which: securities firms and other financial institutions																				
5 Covered bonds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6 Corporates	-	624,365	-	-	-	18,734,167	-	-	14,846,749	6,511,083	18,541,156	-	196,400,133	-	10,088,201	591,738	-	-	-	286,337,791
Of which: securities firms and other financial institutions																				
Of which: specialised lending																				
7 Subordinated debt, equity and other capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	15,486	2,045,558	2,061,044
8 Retail	-	-	-	-	1,565,892	-	-	25,708,029	-	-	-	-	3,063,453	-	-	-	-	-	-	30,337,373
MSMEs:																				
9 Real estate	-	26,035,620	-	-	-	-	4,018,519	1,105,102	15,819,463	-	33,715	168,000	10,948,963	422,148	-	9,762,727	-	-	-	68,314,256
Of which: general RRE																				
Of which: no loan splitting applied																				
Of which: loan splitting applied (Secured)																				
Of which: loan splitting applied (Unsecured)																				
Of which: IPBSE																				
Of which: general CRE																				
Of which: no loan splitting applied																				
Of which: loan splitting applied (Secured)																				
Of which: loan splitting applied (Unsecured)																				
Of which: IPCRE																				
Of which: land acquisition, development and construction																				
10 Defaulted exposures	-	-	-	-	-	902,042	-	-	-	-	-	-	925,585	-	-	3,152,120	-	-	-	4,979,746
11 Other assets	-	-	-	-	-	-	-	-	-	-	-	-	3,681,490	-	-	-	175,016	-	-	3,856,506
12 Total	119,326,528	34,515,721	19,577,430	124,487	1,565,892	23,988,013	4,018,519	1,105,102	56,374,240	6,511,083	18,574,871	168,000	221,188,702	422,148	10,088,201	14,658,605	175,016	15,486	2,045,558	534,443,602

CR5: Standardised approach - exposures by asset classes and risk weights (Figures in SAR 000's)

Risk Weight		a	b	cd
		On-balance sheet exposure	Off-balance sheet exposure (pre-CCF)	Weighted average CCF*Exposure (post-CCF and post CRM)
1	Less than 40%	157,024,200	48,265,070	173,419,679
2	40-70%	22,846,450	35,354,837	30,802,013
3	75%	48,376,475	28,095,900	56,374,240
4	80- 85%	19,360,809	23,193,443	25,085,954
5	90-100%	168,797,130	218,615,344	221,356,702
6	105-130%	10,241,208	538,282	10,510,349
7	150%	13,333,210	4,239,234	14,658,605
9	250%	175,016	-	175,016
10	400%	-	-	-
11	1250%	26,526	-	15,486
12	Others	-	-	2,045,558
12	Total exposures	442,215,544	358,302,111	534,443,602

CCRA: Qualitative disclosure related to counterparty credit risk

(a) Risk management objectives and policies related to counterparty credit risk

Counterparty credit risk (CCR') arises for derivatives, long settlement transactions and SFTs. It is calculated in both the trading and non-trading books and is the risk that a counterparty may default before final settlement, for cases where there is a bilateral risk of loss.

SAB's primary objective is to identify, measure, manage and govern counterparty credit risk to optimize capital utilization. This is achieved through rigorous monitoring of counterparties' creditworthiness and default risk.

(b) The method used to assign the operating limits defined in terms of internal capital for counterparty credit exposures and for CCP exposures

The Standardised Approach for Counterparty Credit Risk (SA-CCR) is used for computing Exposure at Default (EAD). The EAD is calculated as the sum of Replacement Cost and PFE multiplied by an alpha factor of 1.4. The EAD is then converted into Risk-Weighted Assets (RWA) by applying regulatory-defined RWA percentages, based on counterparties' external credit ratings.

The models and methodologies used in the calculation of CCR are overseen and monitored by the Traded Risk Model Oversight Forum. Models are subject to ongoing monitoring and validation. Additionally, they are subject to independent review on an ongoing basis.

(c) Policies relating to guarantees and other risk mitigants and assessments concerning counterparty risk, including exposures towards CCPs

Counterparty exposures are governed by legally enforceable International Swaps and Derivatives Association (ISDA) agreements, supported by Credit Support Annexes (CSA) for margining. The key mitigants include:

- Netting Agreements: Applied wherever enforceable, to reduce exposure.
- Collateralization: Compulsory margining ensures that exposures are adequately collateralized, primarily with cash margins.
- Guarantees: While corporate or other guarantees are not specific to counterparty credit risk, they may be utilized to address the overall credit risk profile when deemed necessary.

Limits for CCR exposures, including to central counterparty (CCPs), are assigned within the overall credit risk management process. The credit risk function assigns a limit against each counterparty to cover exposure which may arise as a result of a counterparty default. The magnitude of this limit will depend on the overall risk appetite, type of derivatives.

(d) Policies with respect to wrong-way risk exposures

Product Due Diligence (PDD) and its periodic review take into consideration various risks of the product including Wrong Way Risk (WWR) before being introduced.

Further Wholesale Credit Risk Policy has defined General and Specific Wrong Way Risk and all related exposures are monitored on a regular basis.

(e) The impact in terms of the amount of collateral that the bank would be required to provide given a credit rating downgrade

SAB is required to place Variation Margin (VM) in the form of cash, to cover adverse Marked-to-Market (MTM) daily positions in respect of covered counterparties as required by the margining regulations. This placement of collateral (margin) is not dependent on ratings and hence in general a ratings downgrade would not require an increase in collateral placement.

CCR has mainly increased due to the composition of the portfolio with inclusion of new trades.

CCR1: Analysis of CCR exposures by approach (Figures in SAR 000's)

	a	b	c	d	e	f
	Replacement cost	Potential future exposure	Effective EPE	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
1 SA-CCR (for derivatives)	630,536	1,636,077		1.40	4,097,878	2,237,948
2 Internal Model Method (for derivatives and SFTs)			-	-	-	-
3 Simple Approach for credit risk mitigation (for SFTs)					-	-
4 Comprehensive Approach for credit risk mitigation (for SFTs)					-	-
5 Value-at-risk (VaR) for SFTs					-	-
6 Total						2,237,948

CCR3: Standardised approach - CCR exposures by regulatory portfolio and risk weights (Figures in SAR 000's)

Regulatory portfolio*↓	Risk weight*→	a	b	c	d	e	f	g	h	i
		0%	10%	20%	50%	75%	100%	150%	Others	Total credit exposure
Sovereigns		-	-	-	-	-	-	-	-	-
Non-central government public sector entities		763,626	-	-	-	-	-	-	-	763,626
Multilateral development banks		-	-	-	-	-	-	-	-	-
Banks		-	-	231,558	-	-	-	-	1,288,654	1,520,212
Securities firms		-	-	-	-	-	-	-	-	-
Corporates		-	-	-	-	35,963	1,778,068	-	-	1,814,030
Regulatory retail portfolios		-	-	-	-	-	-	-	-	-
Other assets		-	-	-	-	-	-	-	10	10
Total		763,626	-	231,558	-	35,963	1,778,068	-	1,288,664	4,097,878

CCR5: Composition of collateral for CCR exposure (Figures in SAR 000's)

	a	b	c	d	e	f
	Collateral used in derivative transactions		Collateral used in SFTs			
	Segregated	Unsegregated	Segregated	Unsegregated	Fair value of collateral received	Fair value of posted collateral
Cash - domestic currency	8,320	-	2,150	-	-	-
Cash - other currencies	109,800	-	596,945	-	-	-
Domestic sovereign debt	-	-	-	-	-	-
Other sovereign debt	-	-	-	-	-	-
Government agency debt	-	-	-	-	-	-
Corporate bonds	-	-	-	-	-	-
Equity securities	-	-	-	-	-	-
Other collateral	-	-	-	-	-	-
Total	118,120	-	599,095	-	-	-

CCR8: Exposures to central counterparties (Figures in SAR 000's)

		a	b
		EAD (post-CRM)	RWA
1	Exposures to QCCPs (total)		24,153
2	Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which	1,207,629	24,153
3	(i) OTC derivatives	1,207,629	24,153
4	(ii) Exchange-traded derivatives	-	-
5	(iii) Securities financing transactions	-	-
6	(iv) Netting sets where cross-product netting has been approved	-	-
7	Segregated initial margin	-	
8	Non-segregated initial margin	-	-
9	Pre-funded default fund contributions	-	-
10	Unfunded default fund contributions	-	-
11	Exposures to non-QCCPs (total)		-
12	Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which	-	-
13	(i) OTC derivatives	-	-
14	(ii) Exchange-traded derivatives	-	-
15	(iii) Securities financing transactions	-	-
16	(iv) Netting sets where cross-product netting has been approved	-	-
17	Segregated initial margin	-	
18	Non-segregated initial margin	-	-
19	Pre-funded default fund contributions	-	-
20	Unfunded default fund contributions	-	-

CVAA: General qualitative disclosure requirements related to CVA

(a) An explanation and/or a description of the bank's processes implemented to identify, measure, monitor and control the bank's CVA risks, including policies for hedging CVA risk and the processes for monitoring the continuing effectiveness of hedges.

CVA represents the risk of mark-to-market losses on the expected counterparty risk to OTC derivatives and SFTs which are subject to fair-value accounting. Certain qualifying central counterparties are exempt from CVA.

SAB revalue all traded transactions and associated collateral positions on a daily basis and an independent function manages the collateral process, including pledging collateral, receiving collateral, investigating disputes and following up non-receipts. A very high proportion of collateral held as variation margin under credit support annex (CSA') agreements is composed of cash. While exchange traded derivatives have been cleared through CCPs for many years, recent regulatory initiatives designed to reduce systemic risk in the banking system are directing increasing volumes of OTC derivatives to also be cleared through CCPs.

SAB incorporates counterparty-specific credit spreads to estimate CVA which is then derived by discounting the expected exposure, weighted by the probability of counterparty default at each time horizon. The bank is exploring CVA hedging strategies, such as using credit default swaps (CDS) or interest rate derivatives to offset CVA risk.

(b) Whether the bank is eligible and has chosen to set its capital requirement for CVA at 100% of the bank's capital requirement for counterparty credit risk as applicable under SMAR14.

According to SAMA guidance, banks with non-centrally cleared derivatives totaling SAR 446 billion or less can choose a different treatment. SAB has decided to set its capital requirement for CVA at 100% for counterparty credit risk (CCR) as stated in SMAR14.

CVA1: The reduced basic approach for CVA (BA-CVA) (Figures in SAR 000's)

		a	b
		Components	BA-CVA Capital Charge
1	Aggregation of systematic components of CVA risk	313,344,999,425,760	
2	Aggregation of idiosyncratic components of CVA risk	335,298,904,289,683	
3	Total		427,927

MRA: Qualitative Disclosure Requirements Related to Market Risk

(a) Strategies and processes of the bank: this must include an explanation of management's strategic objectives in undertaking trading activities, as well as the processes implemented to identify, measure, monitor and control the bank's market risks, including policies for hedging risk and strategies/processes for monitoring the continuing effectiveness of hedges

Market risk is the risk of an adverse financial impact arising from changes in market parameters such as interest rates, foreign exchange rates, asset prices, volatilities, correlations and credit spreads. Market risk arises from both trading portfolios and non-trading portfolios. Trading portfolios comprise positions held for client servicing and market-making, with the intention of short-term resale and/or to hedge risks resulting from such positions

SAB aims to maintain its position as a top Treasury solution provider to KSA clients.

Exposure to market risk is segregated between two portfolios:

- Trading activities which comprise positions taken to cover client flows, and market making commitments with the intention of short-term resale or to hedge risks resulting from such positions with limited open-market risk. Risk arising from complex client trades is prudently hedged.
- Non-Trading activities, which are classified as the banking book which primarily arise from interest rate risk in the retail and corporate banking assets and liabilities, financial investments, debt instruments and foreign exchange risk arising from revaluation of assets and liabilities denominated in foreign currency.

There is an established Trading Book policy framework covering the minimum requirements for trading book positions, and the process for classifying positions as trading or banking book. The policy covers identifying, measuring and monitoring market risk exposure for both Banking and Trading Books as well as ensuring effective controls over restricting movement between trading and banking books. Positions in the trading book are subject to market risk-based rules for capital, which are calculated on the standardized approach. The Bank has also put in place a framework for hedge accounting which includes formal documentation, designation of each hedge accounting relationship and hedge effectiveness, supported by conducting periodical hedge assessments. Our objective is to manage and control market risk exposures to optimise return on risk while maintaining a market risk profile consistent with our established risk appetite.

(b) Structure and organisation of the market risk management function: description of the market risk governance structure established to implement the strategies and processes of the bank discussed in row (a) above, and describing the relationships and the communication mechanisms between the different parties involved in market risk management

Market Risk forms part of the Treasury Risk Management function which operates independently of the Treasury business, reporting via the General Manager Enterprise Risk Management to the Chief Risk Officer. Market Risk is governed by the Risk Management Committee which feeds into the Board Risk Committee and Board.

Bank-wide Trading Authority and Appetite/ Tolerance are approved by Board Risk Committee for Market risk with a detailed market risk mandate, which is reviewed by the Risk Management Committee and approved by the Chief Risk Officer. These limits are set cognisant of the strategic objectives of undertaking trading activities and are formally requested by Treasury Front Office. The limits are reviewed by Risk, before they are approved by the Chief Risk Officer. Market risk exposure is monitored and reported to Treasury Front Office and Treasury Risk management on a daily basis. Limit positions and details of any breaches are reported into each Risk Management Committee which feeds into the Board Risk Committee. Excesses (if any) are reported to Treasury senior management, RMC and BRC.

(c) Scope and nature of risk reporting and/or measurement systems

SAB trading activities comprise positions taken to cover client flows, in particular foreign exchange flows in USD/SAR, rates transactions mainly in SAR, and market making commitments with the intention of short-term resale or to hedge risks resulting from such positions with limited open market risk. Risk arising from complex client trades is prudently hedged. Additionally, a small number of trading positions are held for the Bank's own account along with a primary dealership activity to support the distribution of Saudi Government bond issuances. The main drivers for changes in the Pillar 1 market risk capital requirement from 2024 to 2025 are linked to changes in SAB's trading book profile, affecting changes in FX position, default risk charge and interest rate risk. The credit spread risk increase is driven by look through approach dynamic in mutual fund holdings at year-end.

Treasury uses state of the art systems for end-to-end measurement, processing and management of trading risk and to monitor market risk limits and exposures, such as PVBP (DV01), VaR, FX Stop loss, MTM limits, and CS01. The system reports excesses on-line real time for market risk. VaR is reported on a daily basis, with Market Risk Stress Testing performed on a weekly basis. SAB validate daily accuracy of the VaR model by back-testing the model against actual and hypothetical profit and loss, which excludes non-modelled items such as fees and commissions of intraday transactions.

MR1: Market risk under the standardised approach (Figures in SAR 000's)

		a
		Capital requirement in standardised approach
1	General interest rate risk	23,870
2	Equity risk	10,602
3	Commodity risk	2,633
4	Foreign exchange risk	39,882
5	Credit spread risk - non-securitisations	44,753
6	Credit spread risk - securitisations (non-correlation trading portfolio)	-
7	Credit spread risk - securitisation (correlation trading portfolio)	-
8	Default risk - non-securitisations	17,003
9	Default risk - securitisations (non-correlation trading portfolio)	-
10	Default risk - securitisations (correlation trading portfolio)	-
11	Residual risk add-on	-
12	Total	138,743

Operational Risk Qualitative Disclosure

Sound non-financial risk management is central to achieving fair outcomes for our customers, growing our business safely and maintaining orderly and transparent operation of financial markets. Non-financial risk is relevant to every aspect of our business and is broadly managed through the risk management framework (RMF).

SAB defines operational risk as “the risk to achieving your strategy or objectives as a result of inadequate or failed internal processes, people and systems, or from external events”.

Operational risk is relevant to every aspect of our business. It covers a wide spectrum of issues, in particular legal, compliance, security and fraud. Losses arising from breaches of regulation and law, unauthorised activities, error, omission, systems failure or external events all fall within the definition of operational risk.

(a) Their policies, frameworks and guidelines for the management of operational risk.

SAB’s Risk Management Framework is our overarching approach to managing operational risk, the purpose of which is to:

- Identify and manage our operational risks in an effective manner;
- Remain within the Bank’s operational risk appetite, which helps the organisation understand the level of risk it is willing to accept; and
- Drive forward-looking risk awareness and assist management focus during the year.

The Framework is supported by a set of detailed Procedures, for example:

- Risk and Control Assessments.
- Issue and Action Management.
- Internal Event Management.
- Scenario Analysis.

These procedures explain our approach to identifying, assessing, monitoring and controlling risk and give guidance on mitigating actions to be taken when weaknesses are identified. To achieve our strategic objectives, we set out our risk appetite and then regularly monitor non-financial risk exposure against that risk appetite.

(b) The structure and organisation of their operational risk management and control function.

The Bank follows the three lines of defence model as defined in the OVA: Bank risk management approach section of these disclosures.

Responsibility for managing operational risk lies with all SAB’s staff. The Operational and Resilience Risk function sits in the Second Line of Defence with the Head of Operational and Resilience Risk reporting directly to the Chief Risk Officer. Internal audit will provide an independent assessment of internal controls to the Board as the Third Line of Defence.

The Operational and Resilience Risk team is a combined second line Risk Stewardship and Oversight function. The team is structured under five verticals reporting directly to the Head of Operational and Resilience Risk. Please see below a brief description of the team's responsibilities:

- 1) **Operational Risk Oversight:** Oversees first line of defence implementation and embedment of the Risk Management Framework.
- 2) **Resilience Risk Stewardship:** The Resilience Risk function within ORR enables SAB to carry out its business objectives within risk appetite by creating a consistent viewpoint across the following risk themes that are included under the resilience umbrella:
 - Third Party Risk
 - Technology and Cyber Security Risk
 - Transaction and Payment Processing
 - Business Interruption and Incident Risk
 - Business Unavailability
 - Protective Security Risk
 - Workplace Safety
- 3) **Insurable Risk Stewardship:** Provides advice and guidance on the Bank's insurance policies and processes and controls around the insurance process.
- 4) **Framework, Governance, Scenario Analysis and Risk Steward Oversight:** Writes and owns the Risk Management Framework and related procedures, facilitates the Operational and Resilience Risk Committee (ORRC) and all operational risk reporting to Management Committees, supports the Risk Stewards in the scenario analysis process and oversees the Risk Stewards embedment of their responsibilities as defined in the Risk Management Framework.
- 5) **Data Protection Officer:** The Bank's Data Protection Officer (DPO) reports directly to the Head of Operational and Resilience Risk. The Data Protection Officer ensures the organisation complies with data protection laws by overseeing the processing of personal data, conducting data protection risk assessments, and advising on privacy matters. The DPO also acts as a liaison between the organization, data subjects, and regulatory authorities, ensuring the rights of individuals are protected and any personal data breaches are properly managed.

Each line of Business and Function have a designated Risk and Control Manager (BRCM). The BRCMs independently assess the Risks inherent within their businesses/functions and monitor the effectiveness of the controls to mitigate those risks. The Operational and Resilience Risk Function partner with the Business Risk and Control Managers to ensure effective implementation and embedment of the Risk Management Framework.

Embedding and awareness of operational risk requirements is undertaken through an annual mandatory training module across the bank.

(c) Their operational risk measurement system (i.e. the systems and data used to measure operational risk in order to estimate the operational risk capital charge).

The Risk Management Framework (Including Risk and Control Assessments (RCAs), Issues, Actions and Incidents) along with the banks Loss data is captured in the Operational Risk Management System/Repository called Helios.

The operational loss data along with the banks financial information required by the capital calculations is fed into the banks' capital calculation and reporting engine in SAS, which derives the capital requirements.

(d) The scope and main context of their reporting framework on operational risk to executive management and to the board of directors.

The Operational and Resilience Risk Committee (ORRC) meet 6 times per year and report to the Bank's Risk Management Committee (RMC) which is chaired by the Chief Risk Officer. The primary purpose of the ORRC is to ensure effective oversight of the implementation of the Risk Management Framework and that NFR is managed within the Bank's risk appetite. In addition to NFR, the ORRC also oversees the management of Resilience Risk, Data Privacy and Insurable Risk.

Separate management committees are held covering Compliance, Fraud and Information security given the materiality and importance of these non-financial risks.

Operational Risk and Resilience Risk reporting takes place via the RMC to the Board through its designated Committees. The Board Risk Committee approves the policy, reviews operational risk reports and provides assurances to the Board on key issues arising due to Operational Risk.

Updates on internal control effectiveness, issues and incidents are separately provided to the Audit Committee.

Reporting to executive management includes Risk Appetite, Emerging Risks and Risk Heat Maps, as well as reporting of operational losses, ORR opinion on the management of NFR, Fines, and any key risks arising from ORR thematic reviews. The bank also operates a rapid escalation protocol in the event of any major incident or issue arising.

(e) The risk mitigation and risk transfer used in the management of operational risk. This includes mitigation by policy (such as the policies on risk culture, risk appetite, and outsourcing), by divesting from high-risk businesses, and by the establishment of controls. The remaining exposure can then be absorbed by the bank or transferred. For instance, the impact of operational losses can be mitigated with insurance.

The bank's willingness to accept operational risks will be guided by the Risk Appetite Framework and the individual risk appetite statements and tolerance levels. These will also define those risks the bank is not willing to tolerate.

The Bank undertakes a Risk and Control Assessment (RCAs) as part of the Risk Management Framework to understand the inherent level of risk the Bank is exposed to, based on the Bank's risk taxonomy and the residual risk assessment to inform decision making.

The Assessment first determines the inherent risk to the Bank by department/process/product. The Bank implements controls to mitigate the inherent risk to ensure the bank is operating within its defined risk appetite. The first line of defence Business Risk and Control Managers perform Control Monitoring covering design and operating effectiveness, to ensure the controls remain effective and any control deficiencies are identified with action plans to remediate.

A residual risk assessment is then undertaken to determine what level of Risk the Bank is exposed to post implementation of controls. If any deficiencies and/or weaknesses have been determined during the control monitoring, the impact of these are taken into consideration when assessing the residual risk rating. If the residual risk is within risk appetite, no further mitigation is required. Where the residual risk is out with appetite, the risk owner can choose to either mitigate, accept or transfer the Risk. If the risk owner chooses to mitigate the risk, appropriate action plans would be established and monitored through the respective governance committee. Where the risk owner chooses to accept the risk, the risk owner must follow the risk acceptance process. Risk acceptance is the process through which approval is obtained in instances whereby a risk remains material after the implementation of any mitigating actions or controls (for non-financial risks this is defined as residually very high or high) for a total period of more than 12 months.

If it is determined that the risk cannot be brought back within risk appetite or this is a risk the bank does not wish to retain then a risk transfer is undertaken. Transfer of the residual risk will either take place by the Risk Owner working with the Insurable Risk Steward to transfer the risk using insurance or by seeking outsourcing arrangements with third parties.

OR1: Historical losses (Figures in SAR 000's)

		a	b	c	d	e	f	g	h	i	j	k
		2024	2023	2022	2021	2020	2019	2018	2017	2016	2015	Ten year Average
Using 44,600 SAR threshold												
1	Total amount of operational losses net of recoveries (no exclusions)	23,870	34,391	24,147	6,547	68,748	6,306	13,479	6,015	16,090	7,774	20,737
2	Total number of operational risk losses	64	37	23	14	35	19	20	17	45	36	31
3	Total amount of excluded operational risk losses											
4	Total number of exclusions											
5	Total amount of operational losses net of recoveries and net of excluded losses	23,870	34,391	24,147	6,547	68,748	6,306	13,479	6,015	16,090	7,774	20,737
Using 446,000 SAR threshold												
6	Total amount of operational losses net of recoveries (no exclusions)											
7	Total number of operational risk losses											
8	Total amount of excluded operational risk losses											
9	Total number of exclusions											
10	Total amount of operational losses net of recoveries and net of excluded losses											
Details of operational risk capital calculation												
11	Are losses used to calculate the ILM (yes/no)?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
12	If “no” in row 11, is the exclusion of internal loss data due to non compliance with the minimum loss data standards (yes/no)?	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
13	Loss event threshold: 44,600 SAR or 446,000 SAR for the operational risk capital calculation if applicable	44,600	44,600	44,600	44,600	44,600	44,600	44,600	44,600	44,600	44,600	

OR2: Business Indicator and subcomponents (Figures in SAR 000's)

	a	b	c
BI and its subcomponents	2024	2023	2022
1 Interest, lease and dividend component	7,414,950		
1a Interest and lease income	20,501,416	17,088,441	9,321,874
1b Interest and lease expense	9,477,916	6,746,972	1,913,587
1c Interest earning assets	364,025,124	318,642,426	275,515,349
1d Dividend income	204,065	325,457	156,214
2 Services component	3,234,115		
2a Fee and commission income	3,853,463	3,148,218	2,700,664
2b Fee and commission expense	2,403,901	2,003,679	1,815,008
2c Other operating income	-	-	-
2d Other operating expense	-	-	-
3 Financial component	1,350,999		
3a Net P&L on the trading book	554,929	345,598	430,861
3b Net P&L on the banking book	1,030,142	895,303	796,164
4 BI	12,000,065		
5 Business indicator component (BIC)	1,666,210		

OR3: Minimum required operational risk capital (Figures in SAR

#	Particulars	a
1	Business indicator component (BIC)	1,666,210
2	Internal loss multiplier (ILM)	68.28%
3	Minimum required operational risk capital	1,137,699
4	Operational risk RWA	14,221,244

Interest rate risk in the banking book (IRRBB)

Interest rate risk in the banking book (IRRBB') arises principally from mismatches between the future yield on assets and their funding cost as a result of interest rate changes. Analysis of this risk is complicated for products where the contractual terms do not determine either the economic duration or the price of the balance, due to embedded customer optionality as an example. For these products, assumptions are used to allow accurate analysis.

The assumption and management of IRRBB can be an important source of profitability and shareholder value for SAB, hence its objective is to protect the balance sheet and earnings from adverse movements arising from various interest rate risk types.

The Board directs and oversees the management of IRRBB activities with the Board Risk Committee (BRC) providing oversight to the Asset and Liability Committee (ALCO), which has overall responsibility for interest rate risk monitoring and management in order to optimize SAB's earnings and net asset values and sets limits.

The Bank manages interest rate risk in the following manner:

- SAB's risk management mandate includes specific interest rate risk thresholds, along with a specific Risk Appetite Statement, which are approved by BRC on an annual basis.
- PVB limits are established covering the total bank exposure as well as having sub limits placed on the banking and trading books. Market Risk Management tracks the limits on a daily basis with exceptions referred to senior management.
- Pillar II capital assessment using Economic Value (EV) is estimated based on worst change in the Economic Value of Equity (EVE) under the regulatory prescribed interest rate stress scenario under Pillar II as part of the Bank's capital adequacy with at least quarterly reporting to ALCO.
- Internal transfer pricing policies are established by Finance and approved by ALCO.
- Alignment of the Funds Transfer Pricing (FTP) and IRRBB.
- Stress testing is undertaken and reported to ALCO on a quarterly basis covering the standard Basel IRRBB scenarios for Economic Value of Equity (EVE) and Net Interest Income (NII) sensitivities.
- Clear definition of authorized investments, permissible hedging and position taking strategies with Treasury appointed as the execution body.

Balance Sheet Management (BSM) is responsible for the day-to-day execution of the interest rate strategy. BSM is permitted to use derivatives as part of its mandate to manage interest rate risk. Derivative activity is predominantly through the use of vanilla interest rate swaps which are part of cash flow hedging and fair value hedging relationships. The different types of IRRBB, and the controls that the group uses to quantify and limit its exposures to these risks, can be categorised as follows:

- Risk that is transferred to BSM and managed by BSM within a defined risk mandate;
- risk that remains outside BSM because it cannot be hedged. This risk will be captured by our net interest income sensitivity and EVE sensitivity with corresponding limits as part of our risk appetite statement for IRRBB;

- basis risk that is transferred to BSM when it can be hedged. Any residual basis risk remaining in the businesses is reported to ALCO; and
- model risks that cannot be captured by net interest income or EVE sensitivity but are controlled by the Bank's stress testing framework.

The component of the interest rate risk in the banking book outside BSM that can be economically neutralised is transfer priced to and managed by BSM. The banking book interest rate risk transferred to BSM is reflected in the Bank's DV01 and non-traded VaR measure where BSM then evaluates the relative risk on the basis of applying PVBP and VaR approaches and managing the resultant risk within approved limits assigned by BRC. BSM activity in this regard is overseen by the Market Risk and Product Control functions.

The price at which interest rate risk is transferred to BSM is determined by the Bank's prevailing interest rate risk transfer pricing curve defined by ALCO, in accordance with the Bank's funds transfer pricing policies. The transfer price seeks to reflect the price at which BSM could neutralise the risk in the market at the point of transfer.

Interest rate risk behaviouralisation

Unlike liquidity risk, which is assessed on the basis of a very severe stress scenario, banking book interest rate risk is assessed and managed according to business-as-usual conditions. In many cases, the contractual profile of banking book assets/liabilities arising from assets/liabilities created outside BSM does not reflect the behavior observed.

Where there is no certainty with regard to interest rate repricing profile, behaviouralisation is used to assess the market interest rate risk of banking book assets/liabilities and this assessed market risk is transferred to BSM, in accordance with the rules governing the transfer of interest rate risk from the businesses to BSM.

In assessing the banking book interest rate risk outside BSM, interest rate repricing behaviouralisation techniques are used where the interest repricing profile is uncertain. The current behavioralisation for demand liabilities are as follows. The core portion percentage aligns with the regulatory standards. The volatile portion or the non-core portion of the deposits are allocated into the O/N buckets.

Demand Deposits	Core Portion	Average Maturity of NMDs	Longest Maturity of NMDs	Of which Insensitive	Regulatory Caps (Core/ Average)
WPB Current, Call & Saving	90%	5 Years	10 Years	100%	90% / 5 Years
Private Banking Current & Call	81%	5 Years	10 Years	100%	90% / 5 Years
CIB Current, Call & Marginal	50%	4 years	8 Years	100%	50% / 4 Years

The behavioralisation parameters are reviewed periodically to reflect the current market, observed customer behavior and the availability of the hedges with any changes reviewed and approved through the ALCO governance committee. The behavioralisation tenor of the stable deposits are actively targeted by the treasury team to stabilize the PnL.

The core portion percentage aligns with the regulatory standards. The volatile portion or the non-core portion of the deposits are allocated into the O/N buckets

Interest rate behaviouralisation is reviewed and approved at least annually by ALCO.

IRRBB is measured and controlled using the following metrics:

- DV01;
- non-traded VaR;
- Net interest income (NII) sensitivity;
- Economic value of Equity (EVE); and
- Economic Value (EV).

These are reported on a regular basis to ALCO.

The DV01 approach is a refined duration method that also takes the present yield curve into account and allows the use of operative limits for maturity bands. The DV01 is the change in the present value for a 1 basis-point change in the corresponding interest rate.

Non-traded VaR excludes the non-traded interest rate risk not transferred to BSM and the non-traded interest rate risk of SAB.

Economic Value of Equity (EVE)

The assessment of EVE sensitivity is based on the net gap risk position of the Banking Book exposures. The EVE is the worst aggregated value under the 6 regulatory shock scenarios. The calculation of the EVE sensitivity is based on the future principal cash flows. The EVE approach excludes the assumed repricing cash flows of the bank's free equity. All the notional re-pricing cash flows are slotted into respective time buckets. Within a given time, bucket, all the notional re-pricing cash flows are netted to form a single long or short position. For the products with embedded behavioral optionality where the timings of the cash flows can be triggered with changes in the customer behavior, the cash flows are allocated based on the behavioralisation approach approved by the ALCO. SAB does not account for the embedded options like early redemptions as it is immaterial.

The EVE is calculated for all the material currencies and the overall IRRBB exposure is calculated at the consolidated Bank level. The standard Basel EVE scenarios are used to report EVE. When assessing the sensitivity of EVE to interest rate movements, the timing of principal cash flows can vary but the amount remains constant. SAB measures its IRRBB exposures on monthly basis. While the EVE is measured against the 6 regulatory prescribed interest rate shock scenarios including the revised interest rate shock scenarios for SAR currency.

The Bank monitors EVE sensitivity as a percentage of Tier 1 capital resources under a managed run-off assumption.

Economic Value (EV)

SAB uses EV (i.e. inclusive of the assumed repricing cash flows of the bank's free equity for assessing the Pillar 2 economic capital required to support interest rate risk in the banking book ('IRRBB').

- Where EV under any scenario is higher than the current balance sheet carrying value of equity, the banking book income stream is positive (i.e. profit) and therefore capital accretive under that scenario and no economic capital for IRRBB is required.
- Where EV of any scenario is lower than the current balance sheet carrying value of equity, the banking book income stream is negative (i.e. loss) and therefore capital deductive under that scenario and economic capital for IRRBB is held against this loss.

Net interest income (NII) sensitivity

A principal part of the Bank's management of market risk in non-trading portfolios is to monitor the sensitivity of projected net interest income under varying interest rate scenarios (simulation modelling). This monitoring is undertaken by ALCO.

NII sensitivity captures the expected impact of changes in interest rates on base case projected net interest income. The NII is projected under 25 bps, 100 bps, 200 bps and 275 bps parallel up and parallel down scenarios

Projected net interest income sensitivity figures represent the effect of the pro forma movements in net interest income based on the projected yield curve scenarios and the Bank's current interest rate risk profile.

The Bank has undertaken several initiatives to manage the EVE sensitivity under the revised interest rate shock scenarios. The Bank has IRRBB working group comprising of the stakeholders from Risk, Finance and Treasury to manage the EVE sensitivity and IRRBB exposures.

The following IFRS accounting classifications are used for designated hedges:

Fair Value Hedges:

- Fair value changes on hedging derivatives are recognized in income statement
- In the case of the hedged item, the native accounting of the designated asset / liability will change to fair value accounting to the extent of the hedged risk
- Any hedge ineffectiveness is passed on to the Profit and Loss (P&L) on a daily basis

Cash Flow Hedges:

- Fair value changes on hedging derivatives are recognized in other reserves
- In the case of the hedged item, the native accounting of the designated asset / liability stays unchanged
- Any hedge ineffectiveness is reclassified from reserves to P&L on a monthly basis

The Bank has applied the Basel standardized framework in calculating the EVE and NII sensitivities as disclosed in Table B below.

The assumptions underpinning these are as detailed in the Basel IRRBB guidelines under Principle 8.

Cash flows for EVE have been discounted using a risk-free rate. The risk-free rate includes the commercial margin. SAB uses SOFR plus the credit spreads for USD and SAIBOR rates for SAR book discounting

The Bank currently does not apply the prepayment assumptions in its IRRBB calculations. However, a prepayment model has been developed and is currently subject to the model review and approval. Upon model review approval, the impact of the prepayment on retail loans (Home Loans and Personal Loans) will be incorporated into the EVE modeling.

IRRBB1 - Quantitative information on IRRBB (Figures in SAR 000's)

In reporting currency		ΔEVE		ΔNII	
Period	Dec-25	Sep-25	Dec-25	Sep-25	
Parallel up	(6,728,846)	(7,446,301)	744,379	560,057	
Parallel down	8,251,857	9,266,573	(744,379)	(560,057)	
Steepener	(2,786,412)	(3,725,394)	0	0	
Flattener	1,432,262	2,220,176	0	0	
Short rate up	(1,973,718)	(1,677,949)	0	0	
Short rate down	2,016,861	1,717,453	0	0	
Maximum	(6,728,846)	(7,446,301)	(744,379)	(560,057)	
Period	Dec-25		Sep-25		
Tier 1 capital	68,119,213		66,888,722		

REMA: Remuneration policy

(a) Information relating to the bodies that oversee remuneration

SAB's remuneration activities are mainly governed by SAB's Board of Directors. Despite the establishment of the Nomination and Remuneration Committee (NRC), the Board of Directors is ultimately responsible for promoting effective governance and sound compensation practices. The Nomination and Remuneration Committee, which is a delegated sub-board committee reporting to the Board of Directors and is independent in taking its decisions, consists of (3-5) Non-Executive Board and Non-Board members including two independent members. A committee chair shall be appointed from amongst its independent directors by the Board, provided this member is not the board chair. And such appointments are subject to SAMA no-objection. The NRC TORs are as follows:

- The Nomination and Remuneration Committee shall perform its responsibilities and duties in line with all applicable requirements of the Supervisory Authority and as per the directives communicated by the Board.

The Committee shall inform the Board of its findings or decisions with complete transparency. The Committee Chair shall brief the Board members, at every meeting of the Board, on the Committee's key activities, projects, and recommendations for the Board, and shall see that the minutes of the Committee meetings are readily made available to the Board once approved and signed by all participating members.

- The Nomination and Remuneration Committee will assume the following responsibilities:
 1. Develop and periodically review, for the Board's review and approval, and subsequent submission to the General Assembly for its approval, a policy and procedures for membership in the Board and its committees;
 2. Provide recommendations to the Board for the nomination and/or re-nomination of its members, members of Board committees and the Executive Management team, in line with the approved policies and standards;
 3. Prepare descriptions of the capabilities and qualifications required for membership of the Board and of the Executive Management positions, and annually reviewing the skills and expertise required of the members of the Board and the Executive Management team to ensure the effective discharge of their respective responsibilities;
 4. Determine the amount of time members of the Board shall allocate to the activities of the Board and its Committees;
 5. The Committee shall support the Chief Governance and Corporate Affairs Officer to develop an Induction Training program for members of the Board and Board Committees, and to identify suitable programs for their continuous professional development;
 6. Review the structure of the Board and the Executive Management and provide recommendations regarding changes that may be made to such structure;
 7. Annually ensure the independence of Independent Directors and the absence of any conflicts of interest, especially, but not only, if a member of the Board also acts as a member of the board of directors of another company;
 8. Develop role descriptions for the Executive, Non-Executive and Independent Directors and the Executive Management;
 9. Set the procedures to be followed if the position of a member of the Board or Executive Management becomes vacant;

10. Coordinate with the Bank's Chief Human Resources Officer to develop a succession policy covering the Executive Management team, and ensure that the Executive Management complies with such policy;
11. The NRC shall support the Board on annual basis to conduct an overall effectiveness review of the Board and Board committees and their members by making recommendations as per the principles and procedures set forth in the Bank's Selection Policy, as well as all applicable regulatory requirements, if any;
12. Determining the strengths and weaknesses of the Board and recommending remedy solutions that serve the bank's interests.
13. Review and approve the candidates nominated as board members on the boards of SAB's portfolio of subsidiaries and affiliate companies, as per the Delegation of Authority Matrix;
14. Recommend to the Board candidates nominated for the membership of the Shariah committee, in line with the applicable regulatory requirements, if any; and
15. Develop, for the Board's review and approval, a policy and procedures to assess the performance of the Shariah committee members based on competence, knowledge, contribution and effectiveness.
16. Develop and periodically review, for the Board's review and approval, and subsequent submission to the General Assembly for its approval, a policy and procedures ('Remuneration Policy') for the remuneration of the members of the Board and Board Committees, and for the members of the Executive Management, in line with the applicable provisions set forth by the Supervisory Authorities, provided that such policy follows standards that adequately and prudently link remuneration to performance. To achieve this objective, the Committee should work closely with Risk Management Committee and/or Chief Risk Officer in the evaluation of the incentives created by the remuneration system;
17. Oversee the proper implementation of the Remuneration Policy;
18. Ensure that all disclosure requirements pertaining to the Remuneration Policy are met;
19. Clarify the relation between the paid Remunerations and the provisions set forth in the Remuneration Policy, highlighting any material deviation from that policy;
20. Provide recommendations to the Board in respect of the total Remuneration paid to its members, Board Committee members and members of the Executive Management, and see that such Remuneration are in line with the approved Remuneration Policy;
21. Ensure that the Remunerations paid are consistent with the prevailing local norms and control systems and are appropriate to achieve the Bank's shareholders interests and long-term strategic objectives;
22. Recommend to the Board that an annual review of remuneration be conducted (either internally through Internal Audit or externally by a recognised firm) independently and without the involvement of Executive Management. The recommended review should assess compliance with the applicable rules, relevant laws, regulations, principles, and standards, as well as the bank's internal policies prepared in accordance with these rules. The Board and NRC should take into account the results of such a review when making decisions related to remuneration and may briefly disclose those results in the Board of Directors' Annual Report.
23. Periodically review the Remuneration Policy to assess its effectiveness in achieving its objectives;
24. Reviewing and monitoring the remuneration for highest paid staff to verify compliance with the remuneration policy, and to avoid misuse.
25. Periodically review (at least half yearly) the implementation of the Remuneration Policy for Board Directors, Committee Members & Executive Management to ensure achievement of its stated objectives.

26. Provide recommendations to the Board for the Remuneration of the Shariah committee members, provided that such Remuneration shall be commensurate with the duties and responsibilities of these members and consistent with SAMA's relevant instructions.

27. Manage any remuneration adjustment cases involving Executive Management as per the bank's approved Delegation of Authority.

The Board of Directors through the NRC shall ensure that an annual compensation review is conducted independently of management and submitted to NRC for review and tracking. This review was conducted by external independent consultants, through WTW for 2024, where this review assessed the Bank's compliance with the SAMA Banks Remuneration Rules. The Board of Directors, NRC and Management take into account the findings of such reviews in deciding compensation related matters. The Board of Directors, NRC and Management may also, if deemed appropriate, disclose a summary of the same publicly in the Bank's Annual Report.

The scope of SAB's remuneration policy covers the following:

- **Employee Coverage:** All employees, including Permanent Employees, Fixed Term Contract Employees, International Assignees and Agency Outsourced Employees.
- **Compensation Elements:** All compensation elements, including basic salary, allowances, employee benefit programmes, bonus and incentive schemes (short-term and long-term), deferred awards (cash and shares).
- **Key determinants of compensation:** Career Banding, individual performance, business and corporate performance, risk alignment, market benchmarking, and regulatory requirements.
- **Approval process:** The establishment and amendment of the remuneration policy, total pay review and approval of incentive payments.
- **Reporting processes:** Annual reporting disclosures; management information reporting and regulatory reporting, CMA Private Placement notification.
- **Material Risk Takers:** Certain roles in SAB are classified as material risk taking roles. Where a role is assessed to have high risk impact on the bank, then it would be subject to bonus deferral under a two-tier deferral model. The roles are reviewed annually and endorsed by the Head of Rewards and Organisational Design and the Head of Operational and Resilience Risk and finally approved by Chief Human Resources Officer and Chief Risk Officer.

Tier One Employees (61% Deferral)	Senior Management; Responsible Person
Tier Two Employees (40% Deferral)*	Material Risk Takers

*A trigger of SAR 750,000 is applied to bonuses awarded, for employees not classified as Senior Management or MRTs.

(b) Information relating to the design and structure of remuneration processes

SAB has established a set of core principles to guide the design and implementation of the Bank's rewards and benefits framework. These principles ensure that the policy and its application to all eligible employees:

- **Total Reward Approach:** SAB offers a comprehensive mix of fixed pay, variable pay, incentives, and benefits that reflect employee contributions and support their wellbeing.
- **Performance-Driven:** Employees are rewarded based on individual, team, and organisational performance, with clear links to predefined goals and risk-adjusted results, while promoting a high-performance environment.
- **Market-Competitiveness:** The Bank's Salary Structure is benchmarked at the market median against peer banks.
- **Fairness and Transparency:** SAB is committed to ensuring fairness and transparency in the provision of employee reward.
- **Risk and Compliance Aligned:** Our variable pay programs, in line with the regulatory framework, incorporate risk and conduct considerations to discourage excessive risk-taking and promote sound governance.

The remuneration policy is reviewed annually by the NRC or more frequently where required and is subject to approval by the Board of Directors. The latest review was conducted in April 2025.

In order to preserve the independence of control functions, including Risk, Compliance, and Internal Audit, the remuneration policy and internal rewards procedures require the segregation of the variable pay allocation for employees in these functions from the businesses they oversee. The size of the variable pay pool for control functions is determined independent and is not linked to the short-term profits of the bank.

(c) Description of the ways in which current and future risks are taken into account in the remuneration processes. Including an overview of the key risks, their measurement and how these measures affect remuneration

All employees engaged in material risk taking activities (listed below 1.1 – 1.18), including undertaking or responsible persons or senior financial staff or Risk Control employees, are subject to bonus deferral, malus and clawback conditions, as detailed herein:

	Tier	Deferral	Level of Deferral	Vesting Period	Deferral Vehicle*	Level of Vesting
Senior Management	Tier One Employees	Yes	61%	3 Year	Equity	33% in 1 st Year 33% in 2 nd Year 34% in 3 rd Year
Material Risk Taker	Tier Two Employees	Yes	40%	3 Year	Equity	33% in 1 st Year 33% in 2 nd Year 34% in 3 rd Year
	Not Tier 1 or 2 (bonus more than or equal to 0.75 million)	Yes	40%	3 Year	Equity	33% in 1 st Year 33% in 2 nd Year 34% in 3 rd Year

For employees who are not classified as Senior Management or Material Risk Takers, a bonus deferral is applied where the total bonus awarded equals or exceeds SAR 750,000. Where the threshold is met, a minimum of 40% shall be deferred.

A minimum deferred Bonus amount of SAR 30,000 applies to MRTs. Where the deferred portion of an employee's variable remuneration is below the SAR 30 K, no deferral will be applied and their full bonus amount will be paid in immediate cash.

Malus: Permits the bank to reduce the value of all or part of deferred remuneration based on ex post risk adjustment before it has vested

Clawback: Under this process the individual has to return ownership of an amount of variable remuneration paid in the past or which has already vested to the bank under certain conditions

In-year Adjustment: Downward adjustment of an anticipated annual variable remuneration award to reflect the impact of a negative event or behavior.

The remuneration adjustment must be considered when at least one of the following applies:

1. Misconduct leading to significant loss to the Bank, customers, or any party. Applicable when the conduct is deemed to have been done outside the normal course of the individual executing his/her responsibilities in the bank.
2. Fraud, gross negligence, or material failure of risk-management controls, including violations of internal policies or applicable rules/regulations.
3. Material reputational damage including conduct that brings the business into disrepute;
4. Breach of risk appetite/limits or fair-treatment of customers standards;
5. Regulatory censure/fines attributable to the individual's area of responsibility;
6. Sustained under-performance of KPIs once risk-adjusted (including non-financial metrics as ex-ante criteria).
7. If an employee is proven beyond reasonable doubt to be negligent, not exercising proper decision/controls with respect to operations, credit, risk management, information risk compliance.
8. There is reasonable evidence to show misconduct or material error that justifies the summary termination of the individuals' contract of employment.
9. Material restatement of financials due to error/misconduct; including misstatement leading to incorrect incentive or bonus calculation.
10. In case product was sold and the process was cancelled due to an error in the procedures or the customer no longer wants the product (if the customer is entitled to cancel as per a product sale contract).
11. In case of employee sold a product that was not part of their authorized jurisdiction.
12. And any further instances that may require remuneration adjustments in line with SAMA Banks' Remuneration Rules.

Shares purchase: Deferred awards funded through SAB shares are valued using the average share closing price of SAB shares over the period of 30 trading days preceding the approval of the bonus pool by the NRC.

Prohibition of Personal Hedging Strategies: In accordance with SAMA Banks Remuneration Rules, employees are prohibited from engaging in personal hedging strategies or compensation and liability related insurance to undermine the risk alignment effects embedded in employees' compensation arrangements.

For further details, please refer to published Financial Statement note no. 24 Salaries and employee related expenses

Following is the list of risks undertaken or managed by employees on behalf of the Bank:

1.1 Retail Credit Risk

The risk of financial loss if a retail customer or counterparty fails to meet an obligation under a contract, arising principally from WPB lending which includes Private Banking, Residential Mortgages, Credit Cards and Other Personal Lending.

1.2 Wholesale Credit Risk

The risk of financial loss if a customer or counterparty fails to meet an obligation under a contract arising principally from direct lending, trade finance and leasing business, but also other products such as guarantees and derivatives. It covers i) Corporate and Banks and Financial Institutions; ii) Global Markets.

1.3 Interest Rate Risk in Banking Book (IRRBB)

Interest rate risk in the banking book (IRRBB) is defined as the exposure of the non-trading products of the bank to interest rates. Interest rate risk arises principally from mismatches between the future yield on assets and their funding costs, as a result of changes in interest rates.

1.4 Market Risk

The risk of adverse financial impact on trading activities arising from changes in market parameters such as interest rates, foreign exchange rates, asset prices, volatilities, correlations and credit spreads.

1.5 Capital and Liquidity Risk

The risk of having insufficient capital, liquidity or funding resources to meet financial obligations and satisfy regulatory requirements, including the risk of adverse impact on earnings or capital due to structural foreign exchange exposures and changes in market interest rates, together with pension. Of which, Capital Risk is the risk of insufficient qualifying capital to be able to conduct business in normal and stressful conditions, as well as the failure to identify, assess, plan and manage capital adequacy requirements. Capital refers to regulatory capital and is defined as the resources necessary to cover losses arising from the risk which SAB accepts in the form of discretionary risk or runs in the form of non-discretionary risk by virtue of its operations. The key risk measures include Total Loss Absorbing Capital (TLAC), Capital Adequacy Ratio (CAR), Leverage Ratio (LR) and Common Equity Tier 1 (CET1). This also includes the risk associated with the weighted average cost of capital on bank performance.

1.6 Strategic Risk

The risks to business plans and strategic objectives resulting from poor execution, inability to adapt to changes in external environment, or failure to meet stakeholder expectations.

1.7 Resilience Risk

The risk of sustained and significant business disruption, execution, delivery or physical security or safety events, causing the inability to provide critical services to our customers, affiliates, and counterparties. Resilience Risk arises from failures or inadequacies in processes, people, systems or external events.

1.8 Financial Reporting and Tax Risk

The risk of reporting financial information incorrectly or untimely, or failure in managing tax exposures.

1.9 Financial Crime Risk

The risk that SAB's products and services will be exploited for criminal activity. This includes, bribery and corruption, tax evasion, sanctions breaches, commercial concealment, and export control violations, money laundering, terrorist financing and proliferation financing.

1.10 People Risk

The risk of adverse impact due to not having a diverse and inclusive workforce, with enough people with the right skills, to allow us to serve our customers and lead high-performance businesses where people thrive, including risks associated with employment practices and poor employee behavior.

1.11 Regulatory Compliance Risk

Risks leading to or resulting in statutory or legal sanctions against the bank or incurring material financial loss, or damage to reputation a bank may suffer as a result of non-compliance with all applicable laws, regulations, and relevant regulatory standards related to bank, as well as code of conduct rules applicable to its banking activities, jointly referred to as Compliance Regulations, Rules and Standards.

1.12 Legal Risk

The risk of financial loss, customer detriment, legal or regulatory action or reputational damage resulting from contractual risk, dispute management risk, breach of competition law risk, and intellectual property risk.

1.13 Model Risk

The risk of inappropriate or incorrect business decisions arising from the use of models that have been inadequately designed, implemented or used or that model does not perform in line with expectations and predictions.

1.14 Shariah Risk

The risk from failure to follow Shariah approved contractual structure, documentation, process and guidelines in dealings of Islamic products that may render a deal, relationship, contract, process, etc., as non-Shariah compliant, or failure to maintain necessary records of Shariah

approvals/fatwas and transactions or to purify Shariah non-compliance income. This also exposes the bank to reputational risk besides impacting profitability.

1.15 Fraud Risk

Fraud risk is the possibility of any unexpected loss, be it financial, reputational, or material, due to fraudulent activity by an internal or external actor. The impact of fraud can be seen in the form of: Financial losses, due to theft, embezzlement, or other types of financial crime.

1.16 Reputational Risk

Reputational risk is the potential negative but unquantifiable current and future impact on profits and capital, which might arise from a changed and adverse perception of a Bank's reputation among its various stakeholders in the various sides of its operations.

1.17 Misconduct Risk

Misconduct risk is the current or potential risk of losses to an institution arising from willful or negligent misconduct by the Bank or its employees.

1.18 Sustainability Risk

Sustainability Risk is an umbrella term that may include a broad range of risks related to Environmental, Social and Governance (ESG) factors driving reputational, credit, legal and other risks related to SAB and our customers' environmental and social impacts. This also includes the risk of not meeting sustainability ambitions, commitments, and targets as set out in firm-level external reporting, sustainability risk policies and associated internal policies, and other ESG commitments.

Forfeiture & Non-forfeiture Provision

Forfeiture Provisions

- Voluntary Resignation (to join a competitor organisation): If an employee voluntarily leaves the service of SAB to join a competitor, then all non-vested awards will be forfeited.
- Employee's fixed term contract with the bank expires, is not renewed either by the bank or the employee and the employee joins a competitor organisation.
- Termination: If an employee is terminated by SAB on performance or disciplinary basis then all non-vested awards will be forfeited.
- If an employee is proven beyond reasonable doubt to have been negligent, not exercising proper decision/ controls with respect to operations, credit, risk management, information risk compliance or any other kind of risk as prescribed under Banks Remuneration Rules by SAMA and resulting in a loss situation and/ or reputation damage to the Bank, all non-vested awards will be withheld and the Bank reserves the right to clawback previously vested awards

2. Non-forfeiture Provisions

- a. Normal retirement on reaching the statutory retirement age.
- b. Retirement on the grounds of ill-health, injury and partial or permanent disability, in any of these cases, certified medical records may be requested for verification. The bank reserves the right to appoint an independent medical assessor to verify the medical records should this be required.
- c. If the employing entity or business area is sold and ceases to be part of SAB Group.
- d. Redundancy:
 - i. If the role for the employee has been up-skilled and the employee does not meet the requirements of the changed role.
 - ii. If there is no suitable role for an employee who is returning from an international assignment.
 - iii. When SAB considers that a mutually agreed departure of the employee would be in the best interests of the bank.
 - iv. When the employee is not considered by SAB to have the required skills to meet the business objectives following a management reorganisation and no alternative suitable role can be found.
- e. In cases of death in service.
- f. Employee's fixed term contract with the bank expires and is not renewed either by the bank or the employee, provided the employee does not join a competitor organisation for the 1st year after exiting SAB until the 1st scheduled vesting.
- g. Voluntary Resignation (to join a non-competitor organisation for the 1st year after exiting SAB until the 1st scheduled vesting): At the time of each vesting, HR shall obtain the relevant MANCOM, CCO approval and CRO consultation.

(d) Description of the ways in which the bank seeks to link performance during a performance measurement period with levels of remuneration

The performance of all employees is evaluated in at the Year-end reviews. All employees receive constructive feedback on performance at the Mid-year performance 'check-point'. The performance evaluations of all employees are linked to set targets, objectives and measures stated in the Performance Score Card and recorded SAB's Performance Management System.

Performance is evaluated using the Scorecard methodology. Each employee agrees to certain objectives and is assessed during the year on the progress made on these objectives. Employees are also assessed against their business peers through a Calibration process which is applied to ensure fair and equitable performance evaluation.

Employees are assessed using SAB's On Track / Off Track assessment during the mid-year stage. The assessment provides a common standard for assessing and comparing performance and is used to drive consistency and fairness of performance assessment. The On Track / Off Track assessment has been defined as follows:

On Track:

Meets or exceeds expectations for the first half of the year. Likely to receive a '5', '4' or '3' in year-end performance assessment. Also, likely to receive a 'Role Model' or 'Solid' in year-end behavioural assessment.

Off Track:

Does not meet performance or behavioural expectations at all or consistently, for the first half of the year and is required to make notable improvements in order to meet expectations by the year-end exercise.

Performance Rating:

- 5: Always exceeds all objectives with excellence, delivers outstanding performance across all aspects
- 4: Delivers all objectives and often exceeds expectations. Demonstrates strong commitment and delivers tangible results
- 3: Achieves all objectives that meets expectations
- 2: Partially achieves objectives and sometimes meets expectations
- 1: Under performer and does not achieve objectives. Performance is below expectations

Behavioural Rating:

Role Model: Exceptional behaviours with leadership attributes, significantly above expectations

Solid: Strong sustained behaviours that consistently meet and, at times, are above expectations

Needs Improvement: Behaviours that may require further development in order to improve contribution and create a more positive impact on stakeholders

Not Acceptable: Behaviours which may damage our stakeholders and our reputation, creates risk and/or undermines business performance

The performance management methodology adapted at SAB focuses on the differentiation of individual performance and drives the variable reward strategy which encourages high performance.

The performance management methodology adapted at SAB focuses on the differentiation of individual performance and drives the variable reward strategy which encourages high performance.

To ensure full objectivity and independence of the Internal Audit function, the performance of the Chief Internal Auditor is evaluated by the Audit Committee in line with SAMA rules on Compensation.

The Bank applies a guided discretionary approach to the variable pay determination philosophy, once the bank financial results are produced, Management submits a proposal for the overall variable pay pool to the NRC. The size of the pool varies based on the bank's overall financial performance and the Control Functions pool.

Upon NRC approval, the pool is segregated into two primary pools (1) Control Functions and (2) Other businesses and functions. These pools are subsequently adjusted based on each department's stream results, which is followed by the production of a range for each employee based on individual performance and level. Functional managers then allocate within the guided ranges, ensuring the differentiation based on Individual performance outcomes. Consistent with SAB's overall "Pay for performance" philosophy, Individuals who receive either "1" or "2" performance rating or Not Acceptable behaviour rating in the year-end assessment are not eligible for consideration for an annual bonus in respect of the relevant performance year, in accordance with the bank's policy.

In addition, SAB has consequence management policy designed to establish a comprehensive disciplinary framework. Under this policy, specific cases of misconduct may result in a reduction in variable compensation, which will be applied to the concerned employees.

With respect to fixed pay, SAB differentiates in fixed pay based on individual performance trends. Where fixed pay for middle management and lower levels, is aligned against the Banks' Salary Structure while fixed pay for executive levels is determined with reference to the market and internal equity. In support of this, SAB participates annually in best-in-class market pay surveys provided by top providers in the region (Mercer) to provide such benchmark data for annual pay reviews.

(e) Description of the ways in which the bank seeks to adjust remuneration to take account of longer-term performance

Explained under section (c).

(f) Description of the different forms of variable remuneration that the bank utilises and the rationale for using these different forms

SAB offers two main forms of variable remuneration: cash based and SAB shares-based awards. Where applicable, employees with variable pay are subject to deferral arrangements over a period of three years, in line with SAMA Banks' Remuneration Rules. Deferred variable pay is delivered in SAB Shares, where SAB purchases treasury shares with the deferred amounts and maintains the shares within bank portfolios managed by HSBC Saudi Arabia and SAB Invest.

For employees in SAB who are on assignment from HSBC Group, their deferred variable pay will be delivered in HSBC shares.

Based on the deferred amount and share price, a corresponding number of shares is allocated to each eligible employee. These shares vest over a three-year period of coming performance years. Share price used for allocation is determined within the average closing price of a set period of 30 trading days preceding the NRC's approval of the bonus pool. Upon vesting, the allocated shares are transferred from the bank portfolio to the employee's individual portfolio. Following the transfer, employees have the right to sell or retain the vested share as preferred, with consideration of the Restriction Periods.

SAB operates an incentive scheme designed to support employee performance and management across the Wealth and Personal Banking, Sales, Private Banking and Collections functions. The incentive scheme is reviewed annually and subject to management validation from Human Resources, relevant Business functions, Risk, Finance and Compliance. An independent review is performed by Internal Audit. The scheme and its annual review outcomes are approved by the NRC

When determining the individual's pay mix, SAB takes into perspective the business nature, Employee level in addition to the total compensation factors, this is validated and determined based on market benchmarking and other elements such as the individual performance and business performance. SAB pay mix ranges between 75/25 fixed to variable for back office and control functions and between 70/30 fixed to variable for Business functions.

REM1: Remuneration awarded during the financial year (Figures in SAR 000's)

Renumeration Amount			a	b
			Senior management, as defined in SAMA circular No.42081293 date 21/11/1442AH	Other material risktakers
1	Fixed Remuneration	Number of employees	16	118
2		Total fixed remuneration (rows 3 + 5 + 7)	38,203	141,260
3		Of which: cash-based	38,203	141,260
4		Of which: deferred	-	-
5		Of which: shares or other share-linked instruments	-	-
6		Of which: deferred	-	-
7		Of which: other forms	-	-
8		Of which: deferred	-	-
9	Variable Remuneration	Number of employees	16	118
10		Total variable remuneration (rows 11 + 13 + 15)	46,933	89,797
11		Of which: cash-based	18,384	54,188
12		Of which: deferred	-	-
13		Of which: shares or other share-linked instruments	28,549	35,609
14		Of which: deferred	28,549	35,609
15		Of which: other forms	-	-
16		Of which: deferred	-	-
17	Total remuneration (2 + 10)		85,136	231,057

No major change compared to last year.

REM2: Special payments (Figures in SAR 000's)

Special Payments	Guaranteed bonuses		Sign-on awards		Severance payments	
	Number of employees	Total amount	Number of employees	Total amount	Number of employees	Total amount
1 Senior Management	-	-	-	-	-	-
2 Other material risk-takers	-	-	-	-	-	-

REM3: Deferred remuneration (Figures in SAR 000's)

	a	b	c	d	e
Deferred and retained remuneration	Total amount of outstanding deferred remuneration *as beginning of the year*	Of which: total amount of outstanding deferred and retained remuneration exposed to ex post explicit and/or implicit adjustment	Total amount of amendment during the year due to ex post explicit adjustments	Total amount of amendment during the year due to ex post implicit adjustments	Total amount of deferred remuneration paid out in the financial year
1 Senior Management	42,452	42,452	-	-	29,867
2 Cash	4,988	4,988	-	-	4,112
3 Shares	37,464	37,464	-	-	25,755
4 Cash linked instruments	-	-	-	-	-
5 Other	-	-	-	-	-
6 Other material risk-takers	70,354	70,354	-	-	29,824
7 Cash	4,395	4,395	-	-	2,905
8 Shares	65,959	65,959	-	-	26,919
9 Cash linked instruments	-	-	-	-	-
10 Other	-	-	-	-	-
11 Total	112,806	112,806	-	-	59,691

List of Non-Applicable Tables and Templates

Template	The below list of tables and templates are Not Applicable
KM2: Key metrics - TLAC requirements (at resolution group level)	Not required to be completed by the bank unless otherwise specified by SAMA.
CMS1: Comparison of modelled and standardised RWA at risk level	IRB - Not required to be completed by the bank unless SAMA approve the bank to use the IRB or IMA approach.
CMS2 - Comparison of modelled and standardised RWA for credit risk at asset class	IRB - Not required to be completed by the bank unless SAMA approve the bank to use the IRB or IMA approach.
TLAC1: TLAC composition for G-SIBs (at resolution group level)	Not required to be completed by the bank unless otherwise specified by SAMA.
TLAC2 - Material subgroup entity - creditor ranking at legal entity level	Not required to be completed by the bank unless otherwise specified by SAMA.
TLAC3 - Resolution entity - creditor ranking at legal entity level	Not required to be completed by the bank unless otherwise specified by SAMA.
PV1: Prudent valuation adjustments (PVAs)	There is no prudent valuation adjustments in CET1 so it's not applicable.
Table CRB-A - Additional disclosure related to prudential treatment of problem assets	There is no prudent valuation adjustments in CET1 so it's not applicable.
CRE: Qualitative disclosure related to IRB models	IRB Credit risk
CR6: IRB - Credit risk exposures by portfolio and PD range	IRB Credit risk
CR7: IRB - Effect on RWA of credit derivatives used as CRM techniques	IRB Credit risk
CR8: RWA flow statements of credit risk exposures under IRB	IRB Credit risk
CR9: IRB - Backtesting of probability of default (PD) per portfolio	IRB Credit risk
CR10: IRB (specialised lending under the slotting approach)	IRB Credit risk
CCR4: IRB - CCR exposures by portfolio and PD scale	IRB - Not required to be completed by the bank unless SAMA approve the bank to use the IRB or IMA approach.
Template CCR6: Credit derivatives exposures	It is Not applicable as SAB doesn't have credit derivative exposures.
CCR7: RWA flow statements of CCR exposures under Internal Model Method (IMM)	IRB Counterparty credit risk
Table SECA: Qualitative disclosure requirements related to securitisation exposures	Not applicable
SEC1: Securitisation exposures in the banking book	Not applicable
SEC2: Securitisation exposures in the trading book	Not applicable
SEC3: Securitisation exposures in the banking book and associated regulatory capital requirements	Not applicable
SEC4: Securitisation exposures in the banking book and associated capital requirements - bank acti	Not applicable
Qualitative disclosures for banks using the IMA	IRB - Not required to be completed by the bank unless SAMA approve the bank to use the IRB or IMA approach.
Table MR2: Market risk for banks using the IMA	IRB - Not required to be completed by the bank unless SAMA approve the bank to use the IRB or IMA approach.
Table MR3: Market risk under the simplified standardised approach	IRB - Not required to be completed by the bank unless SAMA approve the bank to use the IRB or IMA approach.
CVA2: The full basic approach for CVA (BA-CVA)	Not applicable
CVA3: The standardised approach for CVA (SA-CVA)	Not applicable
CVA4: RWA flow statements of CVA risk exposures under SA-CVA	Not applicable
GSIB1 - Disclosure of G-SIB indicators	Not required to be completed by the bank unless SAMA identify the bank as G-SIB